■ প্রশ্ন কমনের প্রমাণ পত্র ■

প্রমাণপত্র : ২০২৪ সালের পুরাতন সাজেশন্স থেকে কমনকৃত প্রশ্নের হার ৯৭%।

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 07/01/2026)]

(Department of Finance & Banking)

Subject Code : 232407

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$
   (a) What is the main objectives of management accounting? *[অধ্যায়-০১ এর ১৮ নং প্রশ্ন কমন পড়েছে]*
   (b) Is sunk cost relevant for decision making? *[অধ্যায়-০১ এর ২৯ নং প্রশ্ন কমন পড়েছে]*
   (c) Write down the full form of IRR. *[অধ্যায়-০৬ এর ১৮ নং প্রশ্ন কমন পড়েছে]*
   (d) Which costing is also known as "Direct Costing"? *[অধ্যায়-০৩ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
   (e) Write down the formula of margin of safety. *[অধ্যায়-০৪ এর ১৬ নং প্রশ্ন কমন পড়েছে]*
   (f) Define contribution margin. *[অধ্যায়-০৪ এর ২৩ নং প্রশ্ন কমন পড়েছে]*
   (g) What is incremental cost? *[অধ্যায়-০২ এর ০৭ নং প্রশ্ন কমন পড়েছে]*
   (h) Write down the main cost drivers of management accounting. *[অধ্যায়-০২ এর ১৫ নং প্রশ্ন কমন পড়েছে]*
   (i) What is cash budget? *[অধ্যায়-০৬ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
   (j) Why farm use flexible budget? *[অধ্যায়-০৭ এর ২১ নং প্রশ্ন কমন পড়েছে]*
   (k) Write down two examples of semi-variable costs. *[অধ্যায়-০৭ এর ০৭ নং প্রশ্ন কমন পড়েছে]*
   (l) What is labour cost variance? *[অধ্যায়-০৮ এর ০৫ নং প্রশ্ন কমন পড়েছে]*

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. Why ethics is important in management accounting? Briefly discuss. *[অধ্যায়-০১ এর ১০ নং প্রশ্ন কমন পড়েছে]*
3. *[অধ্যায়-০২ এর Problem- 02 নং (হুবহু) প্রশ্ন কমন পড়েছে]*
4. How do accounting costs differ from economic costs? Explain briefly. *[অধ্যায়-০২ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
5. *[অধ্যায়-০৩ এর Problem- 05 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
6. *[অধ্যায়-০৪ এর Problem- 03 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
7. "All future costs are relevant in decision making". Do you agree? Explain. *[অধ্যায়-০৫ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
8. *[অধ্যায়-০৬ এর Problem- 01 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
9. *[অধ্যায়-০৮ এর Problem- 01 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*

Part-C

[Answer any **five** questions.] Marks : $10 \times 5 = 50$

10. (a) How does management accounting assist the management of a business concern? *[অধ্যায়-০১ এর ০৩ নং প্রশ্ন কমন পড়েছে]*
    (b) Mention the four differences between management accounting and financial accounting. *[অধ্যায়-০১ এর ১২(খ) নং প্রশ্ন কমন পড়েছে]*
11. *[অধ্যায়-০২ এর Problem- 06 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
12. *[অধ্যায়-০৩ এর Problem- 13 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
13. (a) How does cost volume profit (CPV) analysis help in management decision making? *[অধ্যায়-০৪ এর ০৬ নং প্রশ্ন কমন পড়েছে]*
    (b) *[অধ্যায়-০৪ এর Problem- 06 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
14. (a) How relevant cost analysis is used in decision making? explain briefly. *[অধ্যায়-০৫ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
    (b) *[অধ্যায়-০৫ এর Problem- 02 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
15. *[অধ্যায়-০৬ এর Problem- 07 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
16. (a) Mention the five differences between fixed budget and flexible budget. *[অধ্যায়-০৭ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
    (b) *[অধ্যায়-০৭ এর Problem- 01 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*
17. *[অধ্যায়-০৮ এর Problem- 10 নং (অনুরূপ) প্রশ্ন কমন পড়েছে]*

National University

[BBA (Hon's) 3rd Year; Exam-2025 (Will be held-2026/27)]

Subject Code : 232407

Subject Name : Management Accounting

[Baticrom Latest Final Suggestions]

ফিন্যান্স এন্ড ব্যাংকিং বিভাগের ছাত্রছাত্রীদের জন্য

Chapter 01 Introduction to Management Accounting

(ব্যবস্থাপনা হিসাববিজ্ঞান পরিচিতি)

Part-A : Brief Questions & Solutions :

ooo 01. **What is accounting?**
Ans : Accounting is an information system that identifies record and communicates the economic events of an organization to interested users.

oo 02. **What is the elaboration of IMA?**
Ans : The elaboration of IMA is Institute of Management Accountants.

ooo 03. **What is financial accounting?**
Ans : Financial accounting is the process of recording all the transactions of the business for reporting and analysis.

ooo 04. **What is the full meaning of AICPA?**
Ans : The full meaning of AICPA is American Institute of Certified Public Accountants.

05 **Define management accounting.** 99%
Or, What is management accounting?
[Test Exam : Suharawardy, Eden Titumir, Nuzrul, Rajendro & Debendra College; N.U. 2020(Acc.); 2019, 2021 (Mgt.); 2017, 2019, 2021 (Finance)]
Ans : Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

06. What is the main objectives of management accounting? [২০২৪ সালে যা এসেছিল] [N.U. 2024 (Finance)]
Ans : The main objectives of management accounting is to enable the management to maximize profits.

ooo 07. **Who is treasurer?**
Ans : The high-ranking official who controls the financial matters of an organization is called treasurer.

oo 08. **What is cost accounting?**
Ans : Cost Accounting is the branch of accounting dealing with the classification, recording, allocation, summarization and reporting of current and prospective cost.

ooo 09. **Elaborate GAAP.** 99% *[N.U. 2018, 2020 (Mgt.]*
Or, What do you mean by GAAP?
Ans : The meaning of GAAP is– Generally Accepted Accounting Principles.

ooo 10. **What are the three major deviation of accounting?**
Ans : The three major deviation of accounting are–
(i) Financial Accounting.
(ii) Cost Accounting.
(iii) Management Accounting.

oo 11. **What is management audit?**
Ans : Management audit is a review of determine whether the policies and procedure specified by the top managers have been implemented.

12 **What is the elaboration of ICAB?** 99%
[N. U. 2021 (Acc.); 2023 (Finance)]
Ans. The elaboration of ICAB is "Institute of Chartered Accountants of Bangladesh."
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 13. **What is management counseling?**
Ans : Management counselling is an area of public accounting that involves financial planning, control and the development of accounting system.

ooo 14. **Who is management accountant?**
[N.U. 2012 (Old); 2017 (Mgt.)]
Ans : Management accountant is a person who provide business data and analysis to manager within organization to assist in business decision-making and control.

০০০ 15. **What do you mean by ethics?** *[N.U. 2019 (Acc.)]*
Ans : The standards of conduct by which one's action are judged as right or wrong, honest or dishonest, fair or unfair.

০০০ (16) **What is meant by value chain?** 99%
Or, What is value chain?
[N.U. 2020 (Acc.); 2017 (Mgt.); 2021 (Finance)]
Ans : Value chain is the set of business functions that add value to the products or services of an organization.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 17. **What is business ethics?** 99% *[N. U. 2021 (Acc.)]*
Ans. Business ethics refers to the standards of conduct or, moral behavior that apply to business practices.

০০ 18. **What is the full meaning of CIM?**
Ans : The full meaning of CIM is Computer Integrated Manufacturing.

০০০ 19. **What is decision-making?**
Ans : Decision-making process is the act of selecting one alternative from a set of available alternatives.

০০০ 20. **What is budget?**
Ans : Budget is a quantitative expression of a plan of action, and an aid to coordinating and implementing the plan.

০০ 21. **What is management process?**
Ans : The management process is one of the methods that aids in structuring, investigating, analyzing, decision-making and communicating business issues.

০০০ 22. **What is performance report?**
Ans : A performance report is a feedback provided by comparing result with plans and by highlighting variance.

০০০ 23. **What do you mean by product life-cycle?**
Or, What is product life cycle? 99%
[N.U. 2020 (Finance)]
Ans : The product life cycle is defined as the period that start with the initial product design and ends with the drawl of the product from the market place.

০০০ 24. **What is meant by benchmarking?**
Ans : Benchmarking is the study of organizations that are among the best in the world at performing a particular task.

০০ 25. **What are the stages of product life cycle?**
Ans : Product life cycles are:
(i) Introducing stage.
(ii) Growth stage.
(iii) Maturity stage.
(iv) Decline stage.

০০০ (26) **Elaborate : ICMAB.** 99%
[N.U. 2016, 2019 (Acc.); 2017, 2019, 2020 (Mgt.); 2019 (Finance)]
Or, What is the elaboration of ICMAB?
Ans : The elaboration of ICMAB is Institute of Cost and Management Accountants of Bangladesh.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 27. **What is meant by cost-benefit balance?** 99%
[N.U. 2022 (Finance)]
Ans : Cost-benefit balance involves weighing estimated costs against probable benefits and it is the primary consideration when choosing among accounting system and methods.

০০০ 28. **What is ABC costing?** 99% *[N.U. 2022 (Finance)]*
Ans : Activity based-costing refers a costing system by identifying individual activities as the fundamental cost objects.

০০০ 29. **What is management consulting?**
[N.U. 2018 (Acc.)]
Ans. Management consulting is professional acts, that given necessary guidelines to the managers to achieve organizational goals.

30. ***Is sunk cost relevant for decision-making?*** *[২০২৪ সালে যা এসেছিল]* *[N.U. 2019, 2024 (Finance)]*
Ans. *Sunk cost is not relevant for management decision-making because, it is a historical cost that does not differ between alternatives.*

Part-B & C (Short & Broad Questions) :

০০০ (01) **What is meant by management accounting?** 99%
[Ans ফাইন্যান্স অ্যাকাউন্টিং ইনফোগেন (৩য় খণ্ড) বইয়ের **4 Page 1.01 No.]**
Or, Define management accounting. *[Test Exam : Eden & Edward College; N. U. (Finance)-2016, 2017]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০ 02. Discuss the career opportunities in management accounting. **[Ans: 10 Page 1.20 No.]**
[N. U. (Acc.) 2018; D.U. (Finance)-2016]

০০ 03. Why do students of management need to study management accounting? **[Ans: 8 Page 1.12 No.]**
[N.U. (All)-2013; (Mgt.)-2018]

০০০ 04. **Define management by exception (MBE).** 99% **[Ans: 4 Page 1.02 No.]**
[Test Exam : Debendra College; N.U. (All)-2013; Acc.-2016; (Finance)-2018]
Or, What is management by exception?

ooo 05. Write the important of management accounting. **[Ans : Page No 6;Ques. No 1.08]** *[2018 (Finance)]*

ooo 06. **What factors will you consider at the time of "Make or Buy" decision? [Ans: 14 Page 1.29 No.]**
[N.U. BBA- (All)-2012, (Finance)-2016; (Mgt.)-2016; D.U. (Acc.) 2016, 2017]

oooo (07) **Differentiate between cost accounting and management accounting.** 99% **[Ans: 9 Page 1.15 No.]**
[N.U. BBA (Finance)-2017, 2019, 2021]

Or, Write down the differences between cost accounting and management accounting.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo 08. Briefly discuss the planning and control for product life cycle. **[Ans: 14 Page 1.30 No.]**
[N. U. (Acc.)-2016; (Finance)- 2019]

ooo 09. **What are the techniques of management accounting?** 99% **[Ans : Page No 7; Ques. No 1.10]**
[N. U. (All)-2010; (Finance)-2018, 2022;(Acc.) -2017; 2019, 2021; (Mgt.)-2016]

Or, Discuss the various techniques of management accounting.

oo 10. Is management accounting a profession? Discuss. **[Ans: 15 Page 1.32 No.]** *[N. U. (Mgt.)-2017; (Finance)- 2019]*

oooo (11) **(a) Discuss the role of management accounting in decision making.** 99%
[Ans : Page No 12;Ques. No 1.24]

Or, Discuss the role of management accounting in the decision-making process in a business organization.
[Test Exam, : Eden, Jessore city, carmichael, Rajshahi College; N.U.BBA (All)-2005, 2008, 2009, 2014; (Mgt.)-2016, 2018; (Finance)-2016, 2020, 2023; D.U. BBA (Finance)-2016; (Mgt.) 2016, 2017;(Acc.),-2017]

Or, Discuss the role of management accounting in the decision making process in the business.

(b) State the limitations of management accounting. 99% **[Ans : Page No 6;Ques. No 1.06]**
[N.U. (Finance)- 2021, 2023]

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

2. *Why ethics is important in management accounting? Briefly discuss.* **[Ans : Page No. 6 Ques. No. 1.07]**
Or, Why ethics is important in management accounting? Explain. *[N. U. (Accounting)-2017;-(Mgt.)-2019; (Finance)- 2020, 2024]*

10. (a) *How does management accounting assist the management of a business concern?*
[Ans : Page No 8 ; Ques. No 1.14] *[N.U. (All)-2015; (Mgt.)-2019; (Finance)-2024]*

(b) *Mention the four differences between management accounting and financial accounting.*
Or, Distinguish between financial accounting and management accounting. **[Ans : Page No 8 ; Ques. No 1.13]**
[Ans : Page No 8;Ques. No 1.13] *[N.U. (All)-2012;(Acc.) -2016, 2017; (Mgt.)-2017, 2018, 2020; (Finance)-2018, 2022, 2024]*
Or, What are the differences between management accounting and financial accounting?
Or, How does management accounting differ from financial Accounting.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 01, 07 & 11 No. Questions are the most important for the Examinee of 2025 ..... Editor***

Chapter 02 Cost Concepts and Classifications
(ব্যয়ের ধারণা এবং শ্রেণিবিন্যাস)

Part-A : Brief Questions & Solutions :

ooo 01. **What do you mean by expenses?**
[Test Exam : Debendra, M. B. Commence & Eden College; N.U. 2017(Acc.)]
Ans : Expenses is a part of cost which is expired and deductible from revenue.

02. Write down the main cost drivers of management accounting. [N.U. 2024 (Finance)] *[২০২৪ সালে যা এসেছিল]*
Ans : *Units of production and sales, uses of direct materials, Labour hours, Machine hour etc.*

ooo 03. **What do you mean by cost concept?**
[N,U. 2017(Acc.)]
Ans : Cost is a forgoing measured in monetary terms, that is incurred or potentially incurred to achieve a specific objective.

oooo (04) **What is prime cost?** 99%
[Test Exam : Eden, M.M. Edword College; N.U. 2012(Old); 2020 (Acc.); 2016, 2018 (Mgt.); 2021 (Finance)]
Ans : Prime cost is the combined form of direct materials, direct labour and direct expenses.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

05. Mention the two elements of cost. 99%
[N.U. 2016, 2017, 2020, 2021 (Acc.); 2019, 2020 (Mgt.); 2018 (Finance)]
Or, What are the elements of prime cost?
Or, What are the elements of cost?
Ans : The elements of cost or prime cost are: a. Material, b. Labour.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 06. Define differential cost. 99%
[N.U. 2020 (Acc.); 2017 (Finance); 2021 (Mgt.)]
Or, What is differential cost?
Ans : A difference in cost between two alternatives is called differential cost.

ooo 07. What do you mean by administrative overhead?
Ans : All executive, organizational and clerical costs associated with the general management of an organization is called administrative overhead.

08. What is incremental cost? [২০২৪ সালে যা এসেছিল] [N.U. 2019, 2024 (Finance)]
Ans : An increase in cost between any two alternatives is called incremental cost.

ooo 09. What is the marketing and selling overhead?
Ans : Sales and marketing overheads are costs incurred in the marketing of a companies products or services to potential customers.

ooo 10. What is cost statement? 99%
[N.U. 2015 (Old); 2018 (Mgt.)]
Ans : The statement that shows all the costs related to cost of production is called cost statement.

oo 11. What is cost center? *[N.U. 2021 (Acc.)]*
Ans : Cost center is a segment of a company that has a control over generating revenue or the use of investment of funds.

ooo 12. What is cost behavior?
[N.U. 2015(Old); 2017 (Mgt.)]
Or, What is meant by cost behavior?
Ans : The way which a cost will react or respond to changes in the level of business activity is called cost behaviour.

ooo 13. What is the direct costing?
Ans : A cost that can be obviously and physically traced to a unit of product or other organization segment is called direct costing.

14. What is opportunity cost? 99% *[N.U. 2019 (Acc.); 2016, 2020 (Mgt.); 2016, 2020 (Finance)]*
Or, What do you mean by opportunity cost?
Ans : The potential benefit that is lost or sacrificed when the selection of one course of action makes it necessary to give up a competing course of action is called opportunity cost.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 15. What do you meant by work-in-progress?
Ans : Goods that are only partially completed as to manufacturing at the beginning or end of a period and that will need further work before being ready for sale to a customer is called work-in-progress.

ooo 16. What is the periodic cost? 99%
Ans : All costs that are matched against revenue on a time period basis; such costs consist of selling (marketing) and administrative expenses is called periodic cost. *[N.U. 2020 (Finance)]*

17. Define product cost. 99%
Or, What is product cost?
[N.U. 2020 (Acc.); 2019, 2023 (Finance); 2021 (Mgt.)]
Ans : All costs that are involved in the purchase or manufacture of goods are called product costs.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 18. What is cost behavior?
Ans : The way which a cost will react or respond to changes in level of business activity is called cost behaviour.

ooo 19. What is conversion cost? 99% *[N.U. 2012, 2014 (Old); 2016 2019 (Acc.); 2018 (Finance); 2018 (Mgt.)]*
Ans : Conversion cost is the combined form of direct labour and manufacturing overhead.

oo 20. What is indirect cost?
Ans : The cost that cannot be easily and conveniently traced to the particular cost object is called indirect cost.

oo 21. What is cost of goods manufactured?
Ans : The materials, labor and overhead costs that have gone into the products produced during a period are called the cost of goods manufactured.

ooo 22. What is finished goods?
Ans : Goods that are complicated as to manufacturing but not yet sold to customers is called finished goods.

ooo 23. What is manufacturing overhead? 99%
Ans : All costs associated with the manufacturing process except direct materials and direct labour are called manufacturing overhead. *[N.U. 2015 (Old)]*

ooo 24. What is direct materials?
Ans : The materials that become an integral part of a finished product and can be directly traced to it are called direct materials.

ooo 25. **What is direct labor?**
Ans : Those factory labor costs that can be easily traced to individual units of product are called direct labour costs.

ooo 26. **What is the indirect labor?**
Ans : The factory labor cost that cannot be conveniently traced directly to particular products is called indirect labour.

oo 27. **What is the indirect material?**
Ans : Indirect materials are those materials which cannot be conveniently identified with individual cost units.

ooo 28. **What is shutdown cost?** 99%
Ans. A cost that will still be required to be incurred even though a plant is closed or shutdown for a temporary period is known as shutdown cost. *[N.U. 2018 (Acc.); 2019 (Finance)]*

oo 29. **In which case, more net profit arise in variable costing?** *[N.U. 2017 (Mgt.)]*
Ans. More net profit arises under variable costing when there is a decrease in inventory levels because only variable manufacturing costs are included in the cost of the product, so fixed manufacturing overhead is treated as a period cost and expenses in full during the period.

Part-B & C : (Short & Broad Questions) :

ooo 01. Discuss the cost concept? **[Ans:** ধিরাজ ভট্টাচার্য্য মিলনায়তন ব্যাচের ইন্টারপোল (৩য় খণ্ড) বইয়ের **21 Page 2.18 No.]**
Or, Define cost concept.

ooo 02. **Explain the different elements of cost.** 99% **[Ans: 23 Page 2.22 No.]** *[N.U. (All)-2015; (Mgt.)-2020]*

oo 03. Briefly describe the elements of cost of a manufacturing concern. **[Ans: 22 Page 2.19 No.]**
[Test Exam- Anandamohan, Thakurgan, Tongi, Pangsna, Rajendra, Rajshahi College; N.U. (All)-2015]

ooo 04. **Discuss the cost classification for decision making.** 99% **[Ans: 23 Page 2.24 No.]** *[N.U. (Acc.) 2016]*

oo 05. Show the difference between direct materials and indirect materials. **[Ans: 18 Page 2.04 No.]**

ooo 06. **Classify cost on the basis of significance and behavior. [Ans: 26 Page 2.30 No.]**
[N.U. BBA (All)-2013; (Mgt.)-2018; (Acc.) 2021]

ooo (07) **Show the difference between product cost and period cost.** 99% **[Ans: 21 Page 2.17 No.]**
[N.U. (Acc.)-2019, 2021;(Finance)-2020]

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo 08. Show the difference between fixed cost and variable cost. **[Ans: 19 Page 2.09 No.]**
[Test Exam : Eden, Debendra, Rafiqual, Istam mohila, Rajshahi, chadaga College; N.U. (Acc.)-2019]

ooo 09. What are the differences between direct cost and indirect cost? **[Ans: 18 Page 2.06 No.]** *[N.U. (Finance) 2021]*

ooo 10. **Classify the types of cost?** 99% **[Ans : Page No 24 ; Ques. No 2.25]** *[N.U. (Finance)- 2022]*

ooo 11. Write down the objectives of preparing cost sheet. **[Ans: 19 Page 2.07 No.]** *[N. U. (Finance)-2019]*

ooo (12) **Show the difference between cost and expense.** 99% **[Ans : Page No 19 ; Ques. No 2.10]** *[N.U. (Finance)- 2023]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

4. How do accounting costs differ from economic costs? Explain briefly. **[Ans : Page No 626 ; Ques. No-04]**
[N. U. (Finance)-2024]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 06, 07 & 12 No. Questions in are most important for the Examinee of 2025. ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2021 No–6**
Using the following information prepare a statement of Quoted/Tender price :
Percentage of factory overhead on labor = 25%
Percentage of office overhead on factory cost = 20%
Percentage of profit on sales = 25%
Direct material Tk. 5,000 and direct labor Tk. 7,000.

Solution : ধিরাজ ভট্টাচার্য্য মিলনায়তন ব্যাচের ইন্টারপোল (৩য় খণ্ড) বইয়ের ৩১ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–03; (Finance) 2016 No–05; (Mgt) 2021 No–4; MBA Preli (Mgt.) 2018 No–06**

As a cost accountant of Evan Fabrics/Meena Ltd /From the following relevant information, prepare a cost sheet:

Direct materials	Tk. 1,00,000
Direct labour	80% of material
Factory on cost	50% of direct labour
Office on cost	75% of factory on cost
Selling on cost	50% of office on cost
Profit	25% of sales

Required :

(1) Prime cost
(2) Factory cost
(3) Cost of production
(4) Cost of sales
(5) Sales
(6) Percentage of total cost of sales on sales.

Solution : ৩৩ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–03**

From the following relevant information of Padma Ltd. prepare a cost sheet :

Direct materials	Tk. 1,00,000
Direct labour	80% of materials
Factory overhead	50% of labour cost
Office overhead	70% of factory overhead
Selling overhead	50% of office overhead
Profit	25% of sales.

Solution : ৬২৬ পৃষ্ঠার **Question No-3** নং প্রশ্নের উত্তর দেখুন।

০৩০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 06; (Finance) 2021 No–08**

The following data are related to the Akter Company Ltd./Adams Company Ltd. :

	Inventories	
	Ending (Taka)	**Beginning (Taka)**
Finished goods	95,000	1,10,000
Work-in-process	60,000	50,000
Direct materials	85,000	80,000

Cost incurred during the period :	**Taka**
Cost of goods available for sales	6,84,000
Total manufacturing cost	5,84,000
Factory overhead	1,67,000
Direct materials used	1,90,000

Required :

(i) Direct labour cost
(ii) Direct materials purchased during the period.

Solution : ৩৪ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–02; (Finance) 2018 No–05; (Mgt.) 2019 No– 05; D.U. BBA (Hon's) 3rd Acc. 2016 No–02**

Sun Moon Ltd./Moon star Company provided the following data for May, 2014:

Sales	Tk. 72,000
Marketing expense	Tk. 36,000
Administrative expense	Tk. 72,000
Others expense	Tk. 360
Purchase	Tk. 36,000
Factory expense	Tk. 10,000
Direct labor	Tk. 15,000

Inventories :	Beginning (Tk.)	Ending (Tk.)
Finished goods	7,000	10,200
Work in process	8,000	15,000
Materials	8,000	8,500

Required : Cost of goods manufactured.

Solution : ৩৮ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance)-2022 No–11**

Suchanda Manufacturing Ltd. incurred the following costs during March 2023 :

Raw materials purchased	Tk. 23,400
Direct labor (9,200 hours)	Tk. 78,200
Manufacturing overhead (actual)	Tk. 41,500
Selling expenses	Tk. 23,700
Administrative expenses	Tk. 16,300
Interest expenses	Tk. 7,400

Manufacturing overhead is applied on the basis of Tk. 4.25 per direct labor hour. Assume that over applied or under applied overhead is transferred to cost of goods sold only at the end of the year. During the month 3,500 units of product were manufactured and 3,400 units of product sold. On March 01 and 31, Suchanda Manufacturing Ltd. carried the following inventory balances :

	March 01	March 31
Raw materials	Tk. 14,200	Tk. 15,400
Work-in-process	Tk. 64,700	Tk. 55,800
Finished goods	Tk. 32,400	Tk. 36,640

Required :

(j) Statement of cost of goods manufactured for the month of March and calculate the average cost per unit of product manufactured.

(ii) Calculate the cost of goods sold during March, 2023.

Solution : ৪০ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd 2013 No–10; (Acc.) 2020 No– 11; 3rd (Finance) 2016 No–11; 2020 No– 13**

The Surma Company/The Apex Company produce different types of leather goods. The sales revenue for the year Tk. 12,00,000. The cost related different information's during the year were as follows:

Account Titles	Taka
Raw material purchased	50,000
Freight in	2,000

Opening work-in-process	80,000
Opening finished goods	40,000
Opening raw materials	2,50,000
Closing work-in-process	70,000
Closing finished goods	60,000
Closing raw materials	60,000
Productive wages	1,70,000
Chargeable expense	50,000
Factory overhead	2,50, 000
Selling expense	40,000
General and administrative expense	10,000
Sale of scrap	5,000

Prepare a statement showing the following :

(i) Raw material used; (ii) Prime cost; (iii) Cost of manufacturing; (iv) Cost of goods manufactured; . (v) Cost of goods available for use; (vi) Cost of goods sold; (vii) Cost of sales; (viii) Profit or loss.

Solution : ৪১ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

Problem-08 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–11**

The Madhumati Company produce different types of leather goods. The sales revenue for the year Tk. 13,00,000. The cost related different information during the year were as follows :

Particulars	Taka
Raw materials purchased	40,000
Freight in	2,000
Opening raw materials	2,60,000
Opening work-in-process	70,000
Opening finished goods	50,000
Closing raw materials	70,000
Closing work-in-process	60,000
Closing finished goods	70,000
Productive wages	1,80,000
Chargeable expenses	40,000
Factory overhead	2,70,000
Selling expenses	50,000
General and administrative expenses	20,000
Sale of scrap	7,000

Prepare a statement showing the following :

(i) Raw material used
(ii) Prime cost
(iii) Cost of manufacturing
(iv) Cost of goods manufactured
(v) Cost of goods available for use
(vi) Cost of goods sold
(vii) Cost of sales
(viii) Profit or loss.

Solution : ৬২৯ পৃষ্ঠার **Question No-11** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–10(b)**

The cost of production related information of Rahima Ltd. are given below :

Account Titles	01-01-2014	31-12-2014
Raw materials	10,000	12,000
Work-in-rocess	20,000	15,000
Finished goods (120 units)	30,000	
Additional information :		Taka
Purchase of raw material		1,60,000
Direct wages		1,20,000
Factory overhead		85,500
Sales (1,500 units including opening inventory)		4,50,000

Closing finished goods 80 units, administrative expense 20% of factory overhead and selling expense 5% on sales. You are required to calculate units of goods produced and value of ending inventory. Draw up a statement of cost showing the COGS and profit.

Solution : ৪৩ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–3**

Cost records of a manufacturing company is as follows

Accounts titles	Tk.
Total manufacturing cost	2,60,000
Finished goods inventory (closing)	52,000
Cost of finished goods	2,40,000
Work in process (closing)	20,000
Commercial expenses	30,000
Total sales	2,50,000

Factory overhead was applied at 30% of total manufacturing cost. Direct labor cost was 15% of factory overhead.
Required : Prepare a cost sheet.

Solution : ৪৬ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Mgt. 2018 No–11; (MBA Preli.) (Mgt.) 2017 No–2(c)**

The following are the information from records of Haque and Company/ Star and Company for six months ended on 30th June, 2018 :

Account Titles	Taka
Raw materials	18,000
Direct labour	11,000
Indirect labour	5,000
Factory supplies	1,000
Salaries	9,000
Others factory expense	2;500
Miscellaneous selling expense	2,000
Administrative expenses	1,500

Depreciation (75% relates to manufacturing, 15% administrative and 10% selling and distribution) value of assets as on 1st January, 2018 was Tk. 4,00,000 @ 5% per annum is to provided $\frac{2}{3}$ of salary is for office and the balance of sales. Total 5,000 units produced and sold during the six months. Selling price per unit is Tk. 16. Prepare a statement showing the total cost of sales and profit earned during the year

Solution : ৪৮ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 9; 2023 No–9**

Assume that the capacity of a factory is 50,000 units. What should be the most profitable level of output? Cosider following information :

	Up to 25,000 units	Up to 40,000 units	Up to 50,000 units
Fixed cost	Tk. 25,000	Tk. 35,000	Tk. 40,000
Variable cost per unit	Tk. 2	Tk. 2	Tk. 1.90
Selling price per unit	Tk. 4	Tk. 3.50	Tk. 3.20

Solution : ৫০ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.- 2021 No–05**

The following data relates to the 'X' Manufacturing Co. of a standard product during four weeks period of June 30, 2020.

Raw material consumed	Tk. 6,000
Wages	Tk. 5,000
Machine hours worked 1,000 hours	
Machine hour rate	Tk. 0.60
Office overhead: 25% on works cost	
Selling overhead per unit	Tk. 0.08

Units produced: 20,000 units

Units sold: 18,000 units @ Tk. 1.20 per unit

You are required to prepare

(i) Cost of goods sold statement (ii) An income statement.

Solution : ৫২ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–11**

The following data are collected from records of Delta Care Ltd. for May, 2018 :

Accounts titles	Taka
Sales	14,00,000
Purchases	2,40,000
Inbound transport	32,000
Direct labor	3,20,000
Sales salaries	2,00,000
Sales returns and allowances	25,200
Factory overhead	1,88,560
Advertising expenses	1,55,000
Delivery expenses	65,000
Stationery and printing expenses	10,000
Miscellaneous administrative expenses	30,000

Inventories	May 1, 2018	May 31, 2018
Finished goods	Tk. 4,67,400	Tk. 6,20,000
Work in process	1,36,800	1,29,800
Materials	1,96,000	1,76,000

Required : Prepare a cost of goods sold statement & an income statement.

Solution : ৫৩ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2016 No–11**

The cost department of the Swagata Corporation made the following data and costs available for the year 2016 :

Account Titles	Inventories	
	January 1	December 31
Raw materials	34,200	49,300
Work-in-process	81,500	42,350
Finished goods	48,600	?
Depreciation on factory equipment	21,350	
Interest earned		6,300
Raw materials purchased		3,64,000
Direct labour		1,62,500
Indirect labour		83,400
Freight in		8,600
Miscellaneous factory overhead		47,900
Purchased discounts		5,200

Finished goods inventory : January 1 : 300 Units ; December 31 : 420 units, all from current years production.
Sold during 2016 : 3,880 units @ Tk. 220 per unit.

Required :

(i) Statement of cost of goods sold:
(ii) Income statement.

Solution : ৫৬ পৃষ্ঠার **Problem-33** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2014 No–10; (Finance) 2018 No–13**

A manufacturing company produces bicycles. The company had 260 units of opening inventory costing Tk. 700 per unit in 2017.
During the year 2014 the company sold 2,150 bicycles at a gross profit of 20% on sale. cost of material per unit was Tk. 420 Direct labour cost per bicycle was 40 hours at Tk. 4 per hour. Factory overhead was charged at Tk. 5 per direct labour hour. Administrative and selling expense amounted to Tk. 1,20,000. The finished inventory at close was 110 units.

Prepare : (i) Statements of cost of goods sold; (ii) Income statement.

Solution : ৫৯ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2017 No– 11; D.U. BBA (Hon's) 3rd (Acc.) 2020 No– 2(b)**

The following figures are available from the books of M/S Sandeep Enterprise for the year ended 31st December. 2015 :

	Taka
Materials stock on 1-1-2015	1,000
Materials stock on 31-12-2015	2,000
Materials purchased during 2015	10,000
Wages	7,500
Factory overhead	4,500
Administrative overhead	4,200
Selling overhead	5,250
Profit for the year	6,090

In the year 2016 the factor, receives an order for a job which will require materials Tk. 1,200 and wages Tk. 750. The management of the enterprise intends to earn a profit 10% higher than the percentage of profit earned in 2015 and assume that the factory overhead has gone up by 15% and selling and administrative overhead has gone down by 20% in 2016. Further assume that factory overhead is recovered as a percentage of wage and selling and administrative overheads as a percentage of works cost.

Required :

(i) Prepare a cost sheet for 2015;
(ii) Ascertain the sales price of the job order received in 2016.

Solution : ৬৫ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

Chapter 03 Absorption and Variable Costing

(গ্রসন এবং পরিবর্তনশীল ব্যয়)

Part-A : Brief Questions & Solutions :

ooo 01. **What is variable cost?** 99% **(পরিবর্তনশীল ব্যয় কী?)** *[N.U. 2020 (Mgt.)]*

Ans : A cost that varies in total, in direct proportion to change in the level of activity is called variable cost. A variable cost is constant per unit.

ooo 02. **Which costing method is used for external reporting?** *[N.U. 2017 (Mgt.)]*

Ans : Absorption costing is used for external reporting.

ooo 03. **Which costing method is also known as "Full costing"?** 99%

[N.U. 2014 (Old); 2018 (Mgt.); 2023 (Finance)]

Ans : Absorption costing is also known as full costing.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 04. **What is inventory? (মজুদ পণ্য কী?)**

Ans : Inventory is the part of product cost that has not yet been sold and is shown on the balance sheet as an asset.

oo 05. **What is fixed cost?** *[N.U. 2016 (Mgt.)]*

Ans : A fixed cost remains constant in total, regardless of change in the level of activity. However, if expressed on a per unit basis, it varies inversely with the level of activity.

06. Which costing is also known as "Direct costing"? [২০২৪ সালে যা এসেছিল]

Ans : Variable costing is also known as direct costing. [N.U. 2017, 2024 (Finance)]

ooo 07. **What is segment reporting?**

Ans : An income statement or other report in an organization in which data are divided according to product line, division, territories or similar organizational segments.

ooo 08. **Define absorption costing.** 99%

[Test Exam : Dhaka, Eden & Titumir College; N.U. 2019, 2021 (Acc.); 2021 (Finance)]

Or, What is absorption costing?

Or, What do you mean by absorption costing?

Ans : A costing method that includes all manufacturing cost – direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

oo 09. **What is inventorial cost?** *[N.U. 2018 (Acc.)]*

Ans : All costs that are involved in the purchase of manufacture of goods. In the case of manufactured goods, these costs consist of direct materials, direct labour and manufacturing overhead costs used in the production process.

ooo 10. **What do you mean by cost of goods sold?**

Ans : In the period of sales, the product costs are recognized as an expense called cost of goods sold.

ooo 11. **What is throughput? (অতি পরিবর্তনশীল ব্যয় কী?)**

Or, What is super variable costing?

Ans : The total volume of production through a facility during a period is called throughput or super variable costing.

oo 12. **What is common fixed cost? (সাধারণ স্থায়ী ব্যয় কী?)**

Ans : A cost that cannot be identified with any particular segment of an organization is called common fixed cost. Such cost which are also known as indirect cost, exist to serve the combined needs of two or more segment.

ooo 13. **What is normalized overhead rate?**

Ans : A rate based on the average activity of many past and present periods rather than only on the expected activity of the current period.

ooo 14. **What is traceable fixed cost? (চিহ্নিত স্থায়ী ব্যয় কী?)** 99% *[N.U. 2018 (Acc.)]*

Ans : A cost that can be identified with a particular segments and that arises because of the existence of that segment is called traceable fixed cost.

ooo 15. **What is segment margin?** 99% *[N.U. 2020 (Finane)]*

Ans : The amount remaining from the sales of a segment after it has covered all of its own variable and fixed cost is called segment margin.

oo 16. **What it is operating income?**

Ans : Operating income is measure of profitability that tells investors how much revenue will be eventually become profit for a company after covering operating expenses.

ooo 17. **What is JIT principle?** 99%

What do you mean by just-in-time?

[N.U. 2017 (Acc.); 2017, 2020, 2023 (Finane)]

Or, Define just-in-time.

Or, What is JIT?

Ans. JIT is production and inventory control system in which materials are purchased and units are produced only as needed to customer demand.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 18. **What do you mean by business segment?** 99% *[N.U. 2016 (Finane)]*

Ans : Business segment means each of the parts into which somethings is or may be divided price, section part, portion division etc.

ooo 19. **Write down the formula of budgeted production volume.** *[N.U. 2017 (Finane)]*

Ans. (Actual units produced – budgeted units produced) × Budgeted overhead rate = Budgeted production volume.

Part- B & C (Short & Broad Questions) :

ooo 01. Definition of variable costing. [Ans: ফিনান্সিয়াল ম্যানেজমেন্ট ইন্ডিপেন্ডেন্ট (৩য় খণ্ড) বইয়ের 71 Page 3.01 No.]
Or, What do you mean by variable costing?

ooo 02. **Discuss the features/characteristics of variable costing.** 99% **[Ans: 71 Page 3.02 No.]**
[Test Exam : Dhaka, Eden, Lalmatia, Mohilla, Monsar, Mohamad mohsin & Suhrawardy College]

oo 03. Discuss the features/characteristics of absorption costing. **[Ans: 73 Page 3.07 No.]**

ooo 04. Only variable cost can be differential cost. Do you agree? Explain. **[Ans: 72 Page 3.05 No.]**
[Test Exam- Shadot College; N.U. (Mgt.) 2016]

ooo 05. **How can profit be increased without increasing sales in absorption costing?** 99% **[Ans: 73 Page 3.08 No.]** *[N.U. (Finance)-2017]*

ooo 06. Difference between variable costing and marginal costing? **[Ans: 74 Page 3.12 No.]**

ooo (07) **Distinguish between variable cost and absorption cost.** 99% **[Ans: 75 Page 3.14 No.]** *[Test Exam- Rangpar, bola, satkirecity, M.M College; N.U. BBA (All)-2009, 2013, 2015; (Mgt.)-2016;(Acc.) -2017, 2018; (Finance)- 2021; D.U. (Acc. & Mgt.)-2016]*
Or, Describe the reasons for difference in net income between variable costing and absorption costing.
Or, Show the difference between variable costing and absorption costing.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক].

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 02, 05 & 07 No. Questions in are most important for the Examinee of 2025. ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–05**

Meghna Ltd. produced 25,000 units of product during the year 2021, 20,000 units were sold @ Tk. 250 per unit. Cost of this product was :

Materials	Tk. 7,00,000
Direct labor	Tk. 5,00,000
Factory overheads :	
Fixed –	Tk. 1,50,000
Variable –	Tk. 1,25,000

Marketing and administrative expenses for the year total 1,00,000, all are fixed. You are required production cost per unit using variable costing method.

Solution : ফিনান্সিয়াল ম্যানেজমেন্ট ইন্ডিপেন্ডেন্ট (৩য় খণ্ড) বইয়ের ৭৮ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No– 03; 3rd (Finance) 2018 No–06; 2020 No– 09**

Sonali Company Ltd. manufactures bicycle for the use on city street :

Beginning inventory	
Units produced	10,000
Units sold	8,000
Selling price per unit	Tk. 500

Manufacturing cost :	
Direct materials cost per unit	Tk. 120
Direct labour cost per unit	Tk. 140
Variable manufacturing overhead per unit	Tk. 50
Fixed manufacturing overhead	Tk. 6,00,000

Required :

(i) Determine the unit product cost under absorption costing;

(ii) Determine the unit product cost under variable costing.

Solution : ৭৯ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-03** ***Year Question & Solution*** ⊙ **D.U. (Hon's) 3rd (Finance) 2016 No–02; N.U. BBA (Hon's) 3rd (Finance) 2023 No–5**

Panda Ltd. produced 2,00,000 units of a product and sold 90% of these goods. Production cost consisted of direct materials Tk. 8,00,000. Direct labor Tk. 7,00,000. Variable factory overhead Tk. 5,00,000 and Fixed factory overhead Tk. 4,00,000.

Required :

(a) Compute the cost of production per unit under variable costing and absorption costing.

(b) Compute the value of ending inventory under both method.

Solution : ৮১ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.- 2016 No–06**

NUHA Ltd. has the following data :

Account Titles	Year 1 Tk.	Year 2 Tk.
Beginning inventory as per variable costing	Nill	40,000
Beginning inventory as per absorption costing	Nill	58,000
Ending inventory as per variable costing	40,000	Nill
Ending inventory as per absorption costing	58,000	Nill
Profit as per variable costing	50,000	50,000
Profit as per absorption costing	68,000	32,000

Prepare a reconciliation statement.

Solution : ৮২ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2016 No–07**

You have given the following informations of Rahman Brothers :

Sales price Tk. 24 per unit.

Variable manufacturing cost Tk. 10 per unit.

Fixed overhead Tk. 3 per unit (Based on capacity 10,000 units).

Fixed marketing expenses Tk. 8,000.

Production 8,000 units sales 5,000 units.

Prepare income statement using absorption costing.

Solution : ৮৩ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

।২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ Problem-06 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Finance) 2024 No–05

You have given the following information's of Jamuna Brothers :

Sales price Tk. 26 per unit, Variable manufacturing cost Tk. 12 per unit, Fixed overhead Tk. 3 per unit (Based on capacity 10,000 units), Fixed marketing expenses Tk. 7,000. Production 8,500 units, Sales 5,000 units, Prepare income statement using absorption costing.

Solution : ৬২৬ পৃষ্ঠার **Question No-5** নং প্রশ্নের উত্তর দেখুন।

oo Problem-07 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd Finance 2017 No–04

Dhaka Manufacturing Company produces one product. Its cost includes direect materials Tk. 10 per unit, direct labour Tk. 8 per unit, variable manufacturing overhead Tk. 6 per unit, fixed manufacturing overhead Tk. 2,50,000 and selling and administrative overhead Tk. 30,000. In October 2012, Dhaka Manufacturing Co. Produced 25,000 units and sold 20,000 units at Tk. 50 each.

Required :

(i) Calculate product cost per unit under variable costing.

(ii) Prepare a variable costing income statement.

Solution : ৮৪ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

oo Problem-08 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd Mgt.- 2018 No–12

BSRM Company is comparing its present's absorption costing practice with variable costing methods. An examination of its produced the following information :

Budgeted producting	45,000 units
Budgeted fixed factory overhead	Tk. 85,000
Fixed marketing and administrative expense	Tk. 25,000
Sales price per unit	Tk. 15
Standard variable manufacturing cost per unit	Tk. 7
Variable marketing expense per unit	Tk. 2
For the year the following data are available :	
Actual production	35,000 units
Actual sales units	34,000 units
Finished goods inventory January 1	1,200 units
Unfavorable variance from standard cost	Tk. 7,000

Required :

(a) Prepare variable costing income statement.

(b) Prepare absorption costing income statement.

Solution : ৮৯ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

oo Problem-09 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Old) 2012 No-11; 2014 No-11; (Finance) 2018 No-12

Ahmed Ltd/Sobuj Ltd. uses absorption costing system. The president has recently heard about variable costing. However, he supplies you the following data :

Normal capacity	1,000 units
Beginning inventory	200 units
Production	900 units

Sales 1,000 units @ Tk. 10.00 per unit
Materials costs Tk 2.00 per unit
Labour Tk 2.00 per unit
Variable overhead Tk 1.00 per unit
Fixed manufacturing expenses Tk 2,700
Fixed selling expense Tk 1,300
Unfavourable variable cost variance from standard Tk. 200
Required : Income statement under :
(a) Absorption costing method;
(b) Variable costing method.

Solution : ৯০ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–14**

You are supplied with the following data of Akiz Cement for the year ended December 31, 2024 :

Opening inventory	1,000 units
Ending inventory	1,500 units
Production during the year	4,500 units
Normal plant capacity	5,000 units
Cost analysis :	
Selling price	Tk. 20
Direct materials (per unit)	Tk. 10
Direct labor (per unit)	Tk. 3
Variable factory overhead (per unit)	Tk. 2
Fixed factory overhead	Tk. 5,000
Administrative and selling overhead variable	Tk. 2,000
Administrative and selling overhead fixed	Tk. 5,000

Unfavorable variable manufacturing cost Tk. 500.
You are asked to prepare income statement under :
(i) Direct costing
(ii) Absorption costing
Also prepare a statement showing reconciliation of both profit.

Solution : ৯৫ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2018 No–12**

Sky Corporation uses a standard cost system in accounting for one of its products, which its sells for Tk. 30 per unit. The standard cost per unit is :

Account Titles	Taka
Direct materials	8
Direct labour	7
Variable factory overhead	2
Fixed factory overhead (Normal capacity of 60,000 units)	3
Total	20

All variances are closed to cost of goods sold. On May 1, there were 10,000 units of product on hand. During May 50,000 units were produced and 45,000 units were sold. Cost incurred during May were :

Account titles	Taka
Direct materials	3,95,000
Direct labor	3,60,000
Variable factory overhead	1,05,000
Fixed factory overhead	1,85,000
Variable marketing and administrative expense	60,000
Fixed marketing and administrative expense	75,000

Required :

(i) Prepare an income statement under variable costing;

(ii) Prepare an income statement under absorption costing.

Solution : ১০১ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) 3rd Finance- 2016 No–12; N.U. BBA (Hon's) 3rd (Finance)-2022 No–4**

Meghna Ltd. supplies you the following data for the month of June 2023 :

Beginning inventory	Nill
Sales (Units)	6,000
Production (Units)	9,000
Selling price (Per unit)	Tk. 25
Direct manufacturing expenses (Per unit)	Tk. 14
Fixed factory overhead (per unit)	Tk. 4
Fixed factory overhead (Total)	Tk. 30,000
Commercial expenses (Fixed)	Tk. 12,000

Required :

(i) Prepare an income statement applying direct costing and absorption costing.

(ii) Prepare a reconciliation statement.

Solution : ১০৫ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2017 No–14(b); 2021 No–5; MBA Preli (Acc.) 2014 No–2(b); D.U. BBA (Hon's) 3rd (Mgt.) 2017 No–11;**

Jamuna Corporation produced 24,000 units (normal capacity) of product during the year. 20,000 units were sold @ Tk. 22 per unit. Cost of production was as follows :

Direct materials	Tk. 60,000
Direct labour	60,000
Factory overhead :	
Variable cost	1,20,000
Fixed cost	96,000

Marketing and administrative expenses for the year Tk. 70,000, all are fixed.

(i) Income statement under absorption costing and variable costing.

(ii) Reconciliation statement.

Solution : ১০৭ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

✪✪ **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2016 No–12**

The following data is available for the month of April :—

Beginning finished goods (in unit)	4,000
Sales (in unit)	20,000
Actual production (in unit)	24,000
Sales price per unit	Tk. 30
Variable manufacturing cost: (per unit)	
Direct materials	Tk. 4
Direct labour	Tk. 3
Variable production overhead	Tk. 2
Fixed production overhead	Tk. 50,000
Normal production in unit	25,000

Commercial expense (Fixed) Tk. 10,000 and variable Tk. 10,000, Administrative exp. (Fixed) Tk. 5,000.

Required :

(i) Prepare income statement applying variable costing and absorption costing.

(ii) Prepare reconciliation statement.

Solution : ১০৯ পৃষ্ঠার **Problem-32** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

✪✪ **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–12**

The following data is available for the month of June :

Beginning finished goods (in unit)	5,000
Sales (in unit)	20,000
Actual production (in unit)	23,000
Sales price per unit	Tk. 40
Variable manufacturing cost : (per unit)	**Tk.**
Direct materials	5
Direct labour	4
Variable production overhead	3
Fixed production overhead	50,000
Normal production in unit 50,000	
Commercial expensed :	
Fixed	8,000
Variable	12,000
Administrative expense (Fixed)	6,000

Required :

(i) Prepare income statement applying variable costing and absorption costing.

(ii) Prepare reconciliation statement.

Solution : ৬৩০ পৃষ্ঠার **Question No-12** নং প্রশ্নের উত্তর দেখুন।

✪✪✪ **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 15**

The following particulars are available from the books of a company for the year ended December 2019 :

Sales: 1,50,000 kilograms

Finished goods inventory (1-1-2019): 24,000 kg

Finished goods inventory (31-12-2019): 34,000 kg

Sales price Tk. 20 per unit.

Manufacturing cost:

Variable cost per kg of production : Tk. 8

Fixed factory overhead : Tk. 1,60,000 (Normal capacity 1,60,000 kg)

Marketing and administrative expenses :

Variable cost per kg of sales @ Tk. 1

Fixed marketing and administrative expenses Tk. 3,00,000

Standard costing system is used.

Required :

(i) Income statement for the year 2019 under the absorption costing method and variable costing method.

(ii) A statement showing the difference in net operating income under the two methods.

Solution : ১১২ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2017 No–11**

The following particulars are available form the books of company for the ended 2016 : Sales 75,000 kg, finished goods inventory (January 1, 2016) 12,000 kg, finished goods inventory (December 31,2016) 17,000 kg, Sales price Tk. 10 p.u. Variable cost of production Tk. 4 per kg. fixed factory overhead Tk. 1,60,000 (normal capacity 80,000 kg). Variable & fixed marketing administrative expenses are Tk. 1 per kg of sales and Tk. 1,50,000 respectively. Standard costing system is used.

Required :

(i) Income statement for 2016 under absorption costing and direct costing method.

(ii) Reconcile the difference, if any.

Solution : ১১৪ পৃষ্ঠার **Problem-35** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt) 2020 No– 12; 3rd (Finance)-2022 No–12**

The Martin/Rose Company Ltd. sells its razors at Tk. 3 per unit. The company uses FIFO actual costing system. A new fixed manufacturing overhead allocation rate is computed each year by dividing the actual fixed manufacturing overhead cost by the actual production units. The following data are related to it's first two years operation :

	Year-1	Year-2
	Units	Units
Sales	1,000	1,200
Production	1,400	1,000
Cost :	Taka	Taka
Variable manufacturing cost	700	500
Fixed manufacturing cost	.700	700
Variable marketing and administrative	1,000	1,200
Fixed marketing and administrative	400	400

Required :

1. Prepare income statements for each of the years under variable costing and under absorption costing.
2. Prepare a reconciliation and explanation of the difference in the operating incomes for each year resulting from the use of absorption costing and variable costing.

Solution : ১১৮ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–12**

ACI Ltd. has the following data for the first two years storing in 2017. Basic production data at standard cost are as follows :

Account titles	Taka
Direct materials	13.00
Direct labor	15.00
Variable overhead	2.00
Fixed overhead (Tk. 15,00,000 ÷ 1,50,000 units)	10.00
Total standard factory cost per unit	40.00

Selling price per unit Tk. 50.

Fixed selling and administrative expenses Tk. 6,50,000. Sales commission 5% of sales value. Output, sales and inventory (in units):

Account titles	2017	2018
Beginning inventory		30,000
Production	1,70,000	1,40,000
Sales	1,40,000	1,60,000
Ending inventory	30,000	10,000

Required :

(a) An income statement for two years under variable costing.

(b) An income statement for two years under absorption costing.

(c) A reconciliation statement for two years.

Solution : ১১৯ পৃষ্ঠার **Problem-39** নং প্রশ্নের উত্তর দেখুন।

Chapter 04 Cost Volume Profit Relationships

(ব্যয় পরিমাণ মুনাফার সম্পর্ক)

Part-A : Brief Questions & Solutions :

ooo 01. **What is cost?** 99% *[N.U. 2016 (Finance)*

Or, What do you mean by cost?

Ans : Cost is a measurement of monetary terms of the amount of resources used for a specific purposes such as production of goods and services.

oo 02. **What is cost driver?**

Ans : Any output measure of resource and activities is called cost driver.

ooo 03. **What is production cost?**

Ans : Production costs identified with goods produced or purchase for resale.

ooo 04 **What is safety margin?** 99%

Or, What do you mean by margin of safety?

Or, Define margin of safety? *[Test Exam : Kabi Nazrull, Tuumir & Dendra College; N.U. 2012, 2014(Old); 2016, 2019 (Acc.); 2016, 2018 (Mgt.); 2019, 2021, 2023 (Finance)]*

Ans : The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 05. **What is marginal cost?** 99%

[N.U. 2015 (Old); 2018, 2022 (Finance)]

Or, Define marginal cost?

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

oo 06. **What is markup?** *[N.U. 2017 (Acc.); 2019 (Mgt.)]*

Ans : Markup is the amount added to the cost price of a product to determine its selling price.

ooo 07 **What is break even point?** 99%

[Test Exam : Titumir & Suhrawardy College; N.U. 2015 (Old); 2020 (Mgt.); 2022, 2023 (Finance)]

Ans : The break even point can be defined as the point where total revenue equals total cost and as the point where total contribution margin equals total fixed costs.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 08. **Write down the formula of BEP.** *[N.U. 2021 (Acc.)]*

Or. Write down the formula of break-even point.

Ans : $BEP = \frac{\text{Fixed cost}}{\text{Contribution per unit}}$

০০০ 09. **Write a formula of BEP in taka.**
[N.U. 2021 (Mgt.)]
Ans. BEP (Tk.) = $\frac{\text{Total fixed cost}}{\text{P/V Ratio}}$

০০০ 10. **What do you mean by break-even chart?**
Or, What is break-even chart? 99%
[N.U. 2018 (Acc.); 2020 (Finance)]
Ans : The relationship between revenue, cost and level of activity in an organization presented in graphic form and determine BEP from it, is called Break-even chart.

০০০ 11. **Write down the formula of BEP ratio.**
[N.U. 2013 (Old)]
Ans : (i) BEP Ratio = 100% – M/S Ratio,
(ii) BEP Ratio = $\frac{\text{BEP}}{\text{Sales}} \times 100$

০০০ 12. **What is c/m ratio?** 99%
Or, What is the contribution margin ratio?
[N.U. 2012 (Old); 2016, 2021 (Finance)]
Ans : The contribution margin ratio is the ratio of the total contribution margin to total sales revenue. This term is synonymous with profit-volume ratio.

০০ 13. **Write down the formula of contribution.**
Ans : Contribution = Sales – Variable Cost.

০০০ 14. **Write down any one application of C/M ratio.**
[N.U. 2014 (Old); 2019 (Mgt.); 2021 (Acc.)]
Or, Write the formula of CM ratio.
Or, Write down the formula of contribution margin ratio.
Ans : Contribution margin ratio
= $\frac{\text{Contribution}}{\text{Sales}} \times 100$

০০ 15. **What is the equation method?**
Ans : A method of computing the break-even point that relies on the equation is called equation method.

16. Write down the formula of margin of safety. [২০২৪ সালে যা এসেছিল] [N.U. 2024 (Finance)]
Ans : (i) Margin of safety = Sales – BEP Sales; (ii) Margin of Safety = $\frac{\text{Profit}}{\text{P/V Ratio}}$

০০০ 17. **What is profit volume ratio?**
Ans : The ratio that is used to analysis the relation between contribution and sales is known as profit volume ratio.

০০০ 18. **What is sales mix?** 99%
[N.U. 2016, 2018, 2020 (Mgt.)]
Ans : The relative combination in which a company's product are sold. Sales mix is computed by expressing the sales of each product as a percentage of total sales.

০০০ 19. **What is operating leverage?**
Ans : The potential use of fixed operating costs to magnify the effects of change in sales on the firm's earnings before interest and taxes is called operating leverage.

০০০ 20. **What is cost drive?**
Ans : The cost drive of a variable cost is the level of activity or volume whose change causes proportionate changes in the variable cost.

০০০ 21. **What is the elaboration of CVP?** *[N.U. 2017 (Acc.)]*
Ans. CVP = Cost Volume Profit.

০০ 22. **How contribution margin is derived?**
[N.U. 2017 (Acc.)]
Ans. Contribution margin = Total actual or expected sales - Total variable cost.

23. Define contribution margin. [২০২৪ সালে যা এসেছিল]
Or, What is contribution margin (CM)? [N.U. 2019 (Acc.); 2021 (Mgt.); 2022, 2024 (Finance)]
Ans. The amount remaining from sales revenues after all variable costs have been deducted is called contribution margin.

০০০ 24. **Write down the formula of profit volume ratio.** *[N.U. 2020 (Acc.)]*
Ans. P/V ratio = $\frac{\text{Contribution per unit}}{\text{Selling per unit}} \times 100$

০০০ 25. **What is marginal revenue?** *[N.U. 2016 (Finance)]*
Ans. The additional revenue resulting from the sale of an additional unit is called marginal revenue.

০০০ 26. **What is CVP analysis?** 99%
Ans. CVP analysis defined as an analysis of the effect of value changes upon costs and upon profits. *[N.U. 2021 (Finance)]*

Part- B & C (Short & Broad Questions) :

০০০ 01. What is CVP analysis? **[Ans:** খোন্দকার মনিরাজ্জামান হিসাববিজ্ঞান (৩য় খণ্ড) বইয়ের **124 Page 4.01 No.]** *[N.U. 2005]*
Or, Definition of CVP analysis.

০০০ 02. **(a) What is Marginal cost?** 99% **[Ans : 124 Page 4.02 No.]**
(b) Discuss the Merits & Demerits of Marginal cost. 99% **[Ans: 125+126 Page 4.07 + 4.08 No.]**
[Test Exam : Dhaka, Eden College]

০০ 03. State the underlying assumptions of CPV analysis. **[Ans: 129 Page 4.22 No.]** *[N.U. (All)-2015]*

০০ 04. What are the assumptions of cost volume profit analysis? **[Ans: 128 Page 4.18 No.]**
Or, State the assumptions of CVP analysis. *[N.U. (All)-2012, 2014; (Acc. & Mgt.)-2018; (Finance)-2017; D.U. (Acc.) 2017]*

ooo 05. Distinguish between differential cost and marginal cost. 99% [Ans: 125 Page 4.04 No.] *[N.U. (All)-2014; (Mgt.)-2016]*

ooo (06) Briefly explain the limitations of CVP analysis. 99% [Ans: 125 Page 4.05 No.] *[N.U. 2023(Finance)]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

13. (a) How does cost volume profit (CPV) analysis help in management decision making?

[Ans : Page No 128 ; Ques. No 4.17]

[N.U. 2015; (Mgt.)-2020; (Finance)-2018, 2024]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 02 & 06 No. Questions in are most important for the Examinee of 2025.....Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2020 No– 07**

A company has sales of Tk. 60,000, marginal cost of sales Tk. 48,000 and break-even point Tk. 40,000. Find out the amount of profit earned of the company.

Solution : ফিন্যান্স ব্যাংকিং ইনসাইড (৩য় খণ্ড) বইয়ের ১৩৩ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 05**

Sales Tk. 2,00,000, P/V ratio 25%, Fixed cost Tk. 80,000.

Required : (i) BEP (ii) Margin of safety

Solution : ১৩৫ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–6**

Following information is about Global Ltd :

Selling price per unit is Tk. 20.

Variable expenses per unit is Tk. 12

Fixed expenses per annum is Tk. 4,80,000

Required : (a) Calculate contribution margin ratio. (b) Break-even point in amount.

Solution : ১৩৫ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

ooo (99%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–06**

NP Ltd sells several products. Information of average revenue & costs are as follows :

Selling price per unit = Tk. 20.

Variable costs per unit ⟶	Direct materials	= Tk. 4,
	Direct manufacturing labor	= Tk. 1.60
	Manufacturing overhead	= Tk. 0.40
	Selling costs	= Tk. 2

Annual fixed costs = Tk. 96,000

(i) Calculate the contribution margin per unit &

(ii) Calculate the number of units NP Ltd's must sell each year to break even.

Solution : ৬২৭ পৃষ্ঠার **Question No-6** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 5**

From the following information's compute –

(i) Break-even point

(ii) Variable cost

Total sales = Tk. 5,00,000

C/M or P/V ratio = 40%

M/S ratio = 25%

Solution : ১৩৬ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–05; (Finance) 2018 No–08; 2021 No–06**

Total sales of a production Co. is Tk. 2,00,000, margin of safety is Tk. 80,000, C/M ratio 40%.

Determine :

(i) Profit of the Co;

(ii) Total variable cost.

Solution : ১৩৬ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2022 No–5**

TAZ Ltd. costs of producing 2,500 units in January and 3,400 units in February were Tk. 21,830 and Tk. 24,980 respectively. The Co. plans to produce 2,000 units in March. How much would be the cost of production in March?

Solution : ১৩৭ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

☒☒ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–13(b)**

Rahat company Ltd. has fixed expenses of Tk. 1,00,000 with sales at Tk. 3,20,000 and a profit of Tk. 70,000. If in the next period, the company suffered a loss of Tk. 40,000. Calculate the sales volume (in amount.)

Solution : ৬৩১ পৃষ্ঠার **Question No-13(b)** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.- 2021 No–06**

Operation of 'Z' Company for the last year disclosed an M/S ratio 20% and a C/M ratio 50%. Fixed cost Tk. 40,000.

Required : (i) Break even sales (ii) The amount of profit (iii) The contribution margin.

Solution : ১৩৮ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance)-2022 No–3**

Ony Ltd. provided you the following data :

Total sales volume	20,000 units
Variable cost per unit	Tk 15
Total fixed cost	Tk. 80,000
Selling price	Tk. 35 per unit

Determine : (i) BEP units (ii) Margin of safety (iii) C/M ratio (iv) M/S ratio.

Solution : ১৩৯ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–15**

The following data have been taken from the book of Beximco Company :

Annual sales	Tk. 2,50,000
M/S ratio	35%
P/V ratio	45%

Required :

(i) Break even sales in Tk.
(ii) M/S in Tk.
(iii) Annual profit
(iv) Sales required to earn profit of Tk. 70,000.
(v) Profit on sale of Tk. 1,60,000.

Solution : ১৪১ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2022 No–5**

You have been supplied with the following information :

Net sales	Tk. 6,00,000
Variable cost	Tk. 3,00,000
Fixed costs	Tk. 1,80,000

Required :

(i) Break even sales in taka
(ii) Margin of safety ratio
(iii) Contribution margin ratio
(iv) Present net profit in taka.

Solution : ১৪৫ পৃষ্ঠার **Problem-26** নং প্রশ্নের উত্তর দেখুন।

০০. **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–5; (Mgt.) 2021 No–9**

The following figures for profit and sales are obtained from the account of 'X' Co. Ltd./ XYZ Co :

Year	Sales	Profit
	Tk.	Tk.
2013	20,000	1,000
2014	30,000	3,000

Calculate :

(i) Profit volume ratio;
(ii) BEP;
(iii) Profit when sales Tk. 40,000;
(iv) Sales to earn a profit of Tk. 5,000.

Solution : ১৪৭ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2014 No–15; Finance 2021 No–13**

XYZ Company Ltd. /A company collected the following data for the second quarter of the year :-

Months	Sales (Tk.)	Costs (Tk.)
April	70,000	56,000
May	77,000	59,990
June	85,000	64,550

Required :

(i) Variable costs per unit in Taka;
(ii) The fixed costs;
(iii) The break-even point in Tk.;
(iv) July profit if sales Tk. 80,000.

Solution : ১৪৯ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Mgt.- 2017 No–08**

Swift Corporation has a single product whose selling price is Tk. 120 and whose variable cost is Tk. 80 per unit. The company's monthly fixed expense is Tk. 50,000.

Required :

(i) Using the equation method, solve for the unit sales that are required to earn a target profit of Tk. 10,000.
(ii) Using the contribution margin approach, solve for the taka sales that are required to earn a target profit of Tk. 15,000.

Solution : ১৫০ পৃষ্ঠার **Problem-32** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2016 No–09; 2018 No–09**

Scientific Ltd. produces and sales calculator. Variable cost and selling price per calculator are Tk. 600 and Tk. 800 respectively. The fixed cost per year is Tk. 36,000. You are required to calculate :

(i) Break even sales in unit and taka.
(ii) Sales to earn a profit of Tk. 60,000 (before tax).
(iii) Sales to earn a profit of Tk. 45,000 after tax (the tax rate is 40%).

Solution : ১৫৩ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2017 No–05**

The following information related to Dhaka Vegetable Co. Ltd. :

	1	2
Level of activity (in units)	4,000	14,000
Total cost (Tk.)	20,000	60,000

You are required to calculate :-

(i) The variable cost per unit.
(ii) The fixed cost per unit.

Solution : ১৫৪ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Mgt. 2017 No–12; 3rd (Finance)-2022 No–13; (MBA Preli.) (Acc.) 2018 No–13**

A company plans to produce 5,00,000 units at a variable cost of Tk. 20 each. The fixed costs are expected to be Tk. 20,00,000. The selling price is fixed to give 25% profit on cost.

Required :

(i) P/V ratio;
(ii) Break-even point;
(iii) P/V ratio and break-even point if the selling price is increased by 20%.
(iv) The number of units required to be sold at the reduced selling price to obtain an increase of 20% over the budgeted profit.

Solution : ১৫৬ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

Problem-19 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.- 2018 No–13**

The following data is extracted from the books of Padma Company Ltd.

Account Titles	Taka	Taka
Sales 1,00,000 units		8,00,000
Purchase price of products	3,00,000	
Commission (10% on sales)	80,000	3,80,000
Contribution margin		4,20,000
Fixed cost		3,00,000
Profit before tax		1,20,000

The managing director of the company has some questions for you to answer. Each situation is independent of other :

(i) What is the company's break-even point?

(ii) What unit sales would give you a pre-tax profit of Tk. 1,83,000?

(iii) If the company could sales 1,00,000 units and wants a pre-tax profit of Tk. 2,10,000. What price per unit would it have to charge?

(iv) If the purchase price of the product increased by 10%, what volume would be required to earn an after tax profit of Tk. 77,400 (Tax rate 40%)?

Solution : ১৫৭ পৃষ্ঠার **Problem-41** নং প্রশ্নের উত্তর দেখুন।

Problem-20 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2016 No–13**

Tonmoy Ltd. has been given you the following informations :—

Account Titles	Variable cost as % on sales	Fixed cost Tk.
Direct materials	32%	
Direct labour	29%	
Factory overhead	10%	1,90,000
Marketing expenses	5%	60,000
Administrative expense	2%	68,000
Expected sales for the next year 10,000 unit @Tk. 185 per unit.		

Required :

(i) BEP sales volume;

(ii) Profit on expected sales;

(iii) Expected profit if—

(a) Sales decreased 15% from expected sales;

(b) Sales increased 8% from expected sales.

Solution : ১৬০ পৃষ্ঠার **Problem-44** নং প্রশ্নের উত্তর দেখুন।

Problem-21 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2019 No–14(b); 3rd (Acc.) 2020 No– 13; (MBA Preli.) (Mgt.) 2015 No–5(b)**

Sakil Co. Ltd./Otobi Ltd./Glorious Ltd. manufactures and sells a single product. The company's sales and expenses for last quarter is as follows :

	Total Taka	Per unit Taka
Sales	9,00,000	60
Less : Variable cost	3,60,000	24
Contribution margin	5,40,000	36
Less : Fixed cost	4,32,000	
Net operating income	1,08,000	

Required :

(i) What is company's CM ratio?
(ii) What is quarterly break-even-point in units sold and in sales taka?
(iii) Company's margin of safety in taka and in percentage term.
(iv) How many units would be sold each quarter to earn a pre-tax profit of Tk. 1,80,000?
(v) If company can sell only 15,000 units but wanted to earn a pre-tax profit of Tk. 1,80,000, then what would be the selling price per unit?
(vi) If sales increase by Tk. 1,00,000 per quarter and there is no change in fixed expense, by how much would you expect net operating income to increase?

Solution : ১৬৩ পৃষ্ঠার **Problem-46** নং প্রশ্নের উত্তর দেখুন।

০০০ Problem-22 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Finance) 2019 No–13

Consider two businesses with the following unit price and fixed and variable cost:

	Business-A	Business-B
	Taka	Taka
Selling price per unit	10.00	10.00
Variable cost per unit	2.00	6.00
Fixed cost per year	50,000	25,000

Required :

(a) Calculate the profits of each business if sales in units are 20% above the break-even point.
(b) Which business would fare better if sales dropped to 5,000 units? Why?
(c) Which business would fare better if the market collapsed and the price per unit fell to Tk. 5? Why?

Solution : ১৬৪ পৃষ্ঠার **Problem-47** নং প্রশ্নের উত্তর দেখুন।

০০০ Problem-23 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Finance) 2020 No– 16

The Rose Company has just been incorporated and plans to produce a product which will sell for Tk. 10 per unit. Preliminary market surveys show that demand will be less than 10,000 units per year, but it is not as yet clear how much less.

The company has the choice of buying one of two machines, each of which has a capacity of producing 10,000 units per year. Machine -A would have a fixed costs of Tk. 30,000 per year and would yield a profit of Tk. 30,000 per year if sales were 10,000 units.

Machine-B has a fixed cost of Tk. 16,000 per year and would yield a profit of Tk. 24,000 per year at sales of 10,000 units. Variable costs behave linearly for both machines.

Required :

(i) Break-even sales for each machine.
(ii) The sales level where both machine equally profitable.
(iii) The range of sales where one machine is more profitable.

Solution : ১৬৬ পৃষ্ঠার **Problem-49** নং প্রশ্নের উত্তর দেখুন।

০০ Problem-24 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd Finance- 2017 No–12

A company has supplied the following data relating to its operation :

Account Titles	Period-I	Period-II
Cost of materials in Tk.	3,00,000	3,60,000
Cost of labour in Tk.	2,12,000	2,47,000
Overheads in Tk.	4,18,000	4,53,000
Production units	10,000	12,000

Sales through out the year were made at Tk. 100 each.

(i) Use a break-even chart to find fixed cost and current break-even point.
(ii) A plan is proposed where variable cost will be reduced by Tk. 10 p.u. and fixed cost will rise by Tk. 1,16,000. Find the new break-even point.

Solution : ১৭০ পৃষ্ঠার **Problem-52** নং প্রশ্নের উত্তর দেখুন।

Chapter 05 Relevant Costs for Decision Making

(সিদ্ধান্ত গ্রহণে প্রাসঙ্গিক ব্যয় প্রক্রিয়া)

Part-A : Brief Questions & Solutions :

০০ 01 What is relevant cost? 99%

[N.U. 2012, 2014(Old); 2016, 2019 (Acc.); 2016 , 2020 (Mgt.); 2016, 2021, 2023 (Finance)]

Ans : Relevant cost are those expected future cost that differ among alternative course of action.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 02. What is imputed cost? 99% *[N.U. 2023 (Finance)]*

Ans : A cost that is incurred by virtue of using an asset instead of investing it or undertaking an alternative is called imputed cost.

০০ 03. What is the avoidable/ escapable cost?

Ans : The cost that can be escaped by changing the process of production or organization is called avoidable or escapable cost.

০০০ 04. What is unavoidable cost? 99%

[N.U. 2015 (Old); 2017 (Mgt.)]

Ans : A cost that cannot be influenced at the business unit level but it is controllable at the corporate level is called unavoidable cost.

০০০ 05. What is differential or incremental cost?

Ans : A differential cost is the difference in cost items under two or more decision alternatives specifically two different projects of situation.

০০ 06. What is irrelevant cost?

Ans : An irrelevant cost is a cost that will not changed as the result of a management decision. A Managerial accounting term that represent a cost, either positive or negative, that dose not relate to a situation requiring managements decision.

০০০ 07 What is sunk cost? 99%

[N.U. 2012, 2014, 2015 (Old); 2017, 2019 (Acc.); 2021, 2022 (Finance); 2016, 2018, 2021 (Mgt.)]

Ans : A cost that has already been incurred and thus cannot be recovered is called sunk cost.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 08. What is controllable cost?

Ans : Controllable cost is the costs which can be influences by the action of a specified member of the undertaking. They are incurred in a particular responsibility centers can be influenced by the action of the executive heading that responsibility center.

০০ 09. What is historical cost?

Ans : Historical cost is the value of a resource given up or a liability incurred to acquire an asset/service at the time when the resource was given up or the liability incurred.

০০০ 10 What do you mean by decision making? 99%

Or, What is decision making? *[N.U. 2021 (Mgt.)]*

Ans : Decision making is choosing the best among the alternatives.

০০০ 11. Define quantitative factors decision making.

Ans : Quantitative factors are those that can be expressed in numerical terms. All kinds of relevant cost are quantitative factors.

০০০ 12. What are qualitative factor?

Ans : Qualitative factors are those that cannot be expressed in numerical terms but are considered for decision making.

০০ 13. What is uncontrollable cost?

Ans : Uncontrollable cost is the costs which cannot be influenced by the action of a specified member of the undertaking.

০০০ 14. What is abandoning cost?

Ans : Abandoning costs are the costs of retiring altogether a fixed asset from use.

০০ 15. What is step fixed cost?

Ans : A type of expenses that is more or less constant over a low level shift in activity, but which changes incrementally when activity shifts substantially.

০০০ 16. Define relevant range. 99%

[N.U. 2017 (Mgt.); 2019 (Finance)]

Ans. The relevant is the range of activity within which the assumption about variable and fixed cost behavior are effective valid.

০০০ 17. Elaborate : ACCA. 99% *[N.U. 2018 (Finance)]*

Ans : Association of Chartered Certified Accountants.

০০০ 18. What is relevant cash flow? 99%

[N.U. 2020 (Finance)]

Ans. The relevant cash flows is future incremental cash flow arising from the decision being made. This means that the cash flows are only relevant if they are future, incremental costs.

০০০ 19. What is special order? *[N. U. 2021 (Acc.)]*

Ans. A one time order that is not considered part of the company's normal ongoing business is called special order.

Part- B & C (Short & Broad Ouestions) :

ooo 01. What is sunk cost? [Ans: ফিনান্সিয়াল ম্যানেজমেন্ট ইজিপ্রেপ (৩য় খণ্ড) বইয়ের 175 Page 5.03 No.]
Or, Definition of sunk cost?

oo 02. What is opportunity cost? [Ans: 175 Page 5.02 No.]
Or, What do you mean by opportunity cost?

ooo 03. Do you agree that all fixed costs are irrelevant? Why? 99% [Ans: 179 Page 5.17 No.] *[N.U. (Finance)-2016]*

oo 04. How an investment proposal is evaluated according to different discounted cash-flow techniques? [Ans: 178 Page 5.14 No.] *[N.U. 2015]*

ooo 05. What do mean by relevant and irrelevant cost? 99% [Ans: 178 Page 5.15 No.] *[N.U. (Finance)-2018]*

ooo 06. What are the uses of differential cost statement? 99% [Ans: 176 Page 5.05 No.] *[N.U. (Acc.) 2018; (Finance)- 2021]*
Or, What are the procedures of different decision making by using incremental cost analysis?

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

7. *"All future costs are relevant in decision making". Do you agree? Explain.* [Ans : Page No 27 ; Ques. No 2.35]
Or, "All future costs are relevant"—Do you agree? *[N.U. (All)-2015; (Mgt.)-2017; (Finance)-2020, 2024]*
Or, "All relevant costs are future costs but all future costs are not velevent cost" –Do you agree and why?

14. *(a) How relevant cost analysis is used in decision making? explain briefly.* [Ans : Page No 631 ; Ques. No-14 (a)]
[N.U. (Finance)-2024]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05 & 06 No. Questions in are most important for the Examinee of 2025. ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–06**

Three Star Company manufactures there products. Out of the three, product Z has a net loss of Tk. 20,000 from sales of Tk. 2,00,000, variable expense Tk. 1,80,000 and fixed expense Tk. 40,000. If product Z is eliminated Tk. 30,000 of fixed cost will remian.
Prepare an analysis showing whether product Z should be eliminated.

Solution : ফিনান্সিয়াল ম্যানেজমেন্ট ইজিপ্রেপ (৩য় খণ্ড) বইয়ের ১৮১ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No– 08**

Delta Company is considering expansion of its plant capacity. Fixed costs amount to Tk. 4,20,000 and are expected to increase by Tk. 1,25,000 when plant expansion is completed. The present plant capacity is 80,000 units per year. Capacity will increase by 50% with the expansion. Variable costs are currently Tk. 6 per unit and are expected to go down by Tk. 1 per unit with the expansion. The current selling price is Tk. 20 per unit and expected to remain same under either alternative. Which alternative is better expand or not to expand? Why?

Solution : ১৮১ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–14(b)**

Company A manufactures Motor cars. It can produce 1,000 units in a month for a fixed cost of Tk. 1,00,000 and variable cost of Tk. 500 per unit. It current demand is 600 unit which it sells at Tk. 1,000 per unit. It is approached by company Z for an order of 200 units at Tk. 700 per unit. Should the company accept the order?

Solution : ৬৩২ পৃষ্ঠার **Question No-14(b)** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–14 (b)**

Rahman Ltd. has the capacity of producing 20,000 units per month. At the moment, they are producing and selling 12,000 units per month at Tk. 20 per unit. Cost per unit are as follow :

Direct materials	Tk. 8
Direct labour	4
Variable factory overhead	2
Fixed factory overhead	1
Fixed administrative expense	1
Variable selling expense	1

Recommend whether or not the company should accept a special order for 8,000 units at Tk. 17 per unit.

Solution : ১৮৩ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2019 No– 06**

Beach View Ltd. is a manufacturing concern which requires 3,000 units of part-A to complete its finished products. Beach View Ltd. produces part-A in its own factory. Relevant cost data are as follows :

Details	Per unit Taka	3,000 units Taka
Raw materials	30	90,000
Direct labour	70	2,10,000
Variable overhead	50	1,50,000
Fixed overhead	50	1,50,000
Total cost	200	6,00,000

A supplier offers to sell part-A to Beach View Ltd. at a cost of Tk. 180 per unit. If the offer is accepted, fixed overhead @ Tk. 30 per unit can be saved.

Required : Should the offer be accepted?

Solution : ১৮৪ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No– 16**

Sovon Ltd. manufactures 40,000 parts of specialized products. At this level of activity the cost per parts is as follows :

	Taka
Direct materials	5
Direct labour	10
Variable overhead	2
Fixed overhead	8
Total cost per parts	25

An outside supplier has offered to sell 40,000 parts each year to Sovon Ltd. for Tk. 22 per parts. If Sovon Ltd. accepts this offer, the facilities now being used to manufacture the parts could be rented to another company at an annual rental of Tk. 80,000. However, the company has determined that Tk. 6 per unit of the fixed overhead being applied to the parts would continue even the parts are purchased from outside.

Required : Should the parts be purchased from outside or continue to produce in the factory?

Solution : ১৮৫ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old)-2015 No–14(b); (Finance) 2018 No–16(b); 2019 No–06; (Mgt) 2021 No–7; (MBA Preli.) (Mgt) 2019 No–08.**

Turjo Company Ltd./ABC Ltd. is a manufacturing concern produces Parts-B in its own factory. The relevant cost of the product as raw material Tk. 20, direct labor Tk. 80, variable overhead Tk. 50 and fixed overhead Tk. 50. Company needs' 2,000 units of Parts-B.

A supplier offers to sell Parts-B to ABC Ltd. at a cost of Tk. 160 per unit. If the offer is accepted fixed overhead can be saved Tk. 35 per unit. Should the offer be accepted?

Solution : ১৮৫ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.- 2017 No–09; (Finance)-2022 No–6**

Faisal Chemical Ltd./Tamanna Chemical Ltd. turns out as single product. The highest capacity of company is 6,00,000 kgs. Presently the company produces 4,00,000 kgs. It has received a foreign offer for 80,000 kgs @ Tk. 13 per kg. The company sells Tk. 17 per kg. The standard cost sheet per kg are given below :

Direct materials	Tk. 6.00
Direct labor	Tk. 3.50
Variable overhead	Tk. 3.25
Fixed overhead	Tk. 1.75
Total	Tk.14.50

Should the company accept the offer?

Solution : ১৮৬ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Acc.) 2014 No- 7(b); 2018 No–11**

A company currently operating at 80% capacity has the following profitability particulars :

	Taka	Taka
Sales		1,28,000
Costs :		
Direct materials	40,000	
Direct labour	16,000	
Variable overhead	8,000	
Fixed overhead	52,000	1,16,000
Profit		12,000

An export order has been received that would utilize half of the capacity of the factory. The order has either to be accepted in full and executed at 10% below the normal domestic prices or rejected totally. The alternatives available for management is given below:

(i) Reject the order and continue with the domestic sales only as at present.

(ii) Accept the order, split the capacity equally between overseas and domestic sales and turn away excess domestic demand.

(iii) Increase the capacity so as to accept the export order and maintain the present domestic sales by—

(a) Buying an equipment that will increase the capacity by 10% and fixed cost by Tk. 4,000.

(b) Work overtime at a rate of $1\frac{1}{2}$ times of normal wages rate to meet balance of required capacity.

Prepare the comparative statements of profitability and suggest the best alternative

Solution : ১৮৭ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–14(b)**

Among manufactures 4,000 units of a product during a year, the cost of the product is as follows :
Direct materials Tk. 1,72,000, direct labor Tk. 1,00,000, overheads Tk. 90,000. 60% of productive overheads is fixed. Administrative and selling expenses are Tk. 52,000 and 40,000 respectively, Administrative expenses are entirely fixed but 30% of the selling expense are variable. A foreign customer has given a proposal to buy 1,000 units. The company sells the product at Tk. 126 but the foreign buyer offers Tk. 100 as the price of the product. No additional cost would be incurred for the increased sells except Tk. 4,000 as delivery charges.
Should the offer of the foreign customer be accepted?

Solution : ১৮৯ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Acc.) 2017 No- 7(c); BBA (Hon's) 3rd (Finance)-2022 No–17**

Mizan/Asa Ltd. manufactures 4,000 units of a product during a year Costs of the product are as follows :

	Tk.
Direct materials	86,000
Direct labour	50,000
Overheads	45,000

60% of productive overheads are fixed. Administrative and selling expenses are Tk. 26,000 and Tk. 20,000 respectively. Administrative expenses are entirely fixed but 30% of selling expenses are variable. A foreign customer has given a proposal to the company to buy 1,000 units. The company sells the product at Tk. 63 but the foreign buyer offers Tk. 50 as the price of the product. No additional cost would be incurred for the increased sale except Tk. 2,000 as delivery charges. Should the offer of the foreign customer be accepted?

Solution : ১৯০ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2021 No–15**

A company has a capacity of producing 1,00,000 units of a product in a month. The sales department reports that the following schedule of sale price is possible :

Volume of production	Selling price per unit (Tk.)
60%	0.90
70%	0.80
80%	.0.75
90%	0.67
100%	0.61

The variable cost of manufacture at each level is Tk. 0.15 per unit and fixed cost Tk. 40,000.

Required :

(i) Prepare a statement showing incremental revenue and differential cost at each stage.

(ii) At which volume of production will the profit be maximum? and

(iii) A foreign buyer offers to purchase the balance capacity over the maximum profit volume at a price of Tk. 0.50 per unit. Will you advise to accept the offer?

Solution : ১৯৪ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

Chapter 06 Budgeting and Budgetary Control

(বাজেটিং এবং বাজেটীয় নিয়ন্ত্রণ)

Part-A : Brief Questions & Solutions :

ooo 01. **What is budgeting?**

Ans : Budgeting is the co-ordination of financial and non-financial planning of satisfy the organization goal.

ooo 02. **What is budget?**

Ans : Budget is a plan showing a company's objectives and how management intends to acquire and use resource to attain those objectives.

03. ***What is cash budget? [২০২৪ সালে যা এসেছিল]***

[N.U. 2012 (Old); 2016, 2020 (Acc.); 2016, 2018, 2020 (Mgt.); 2016, 2018, 2024 (Finance)]

Ans : *Cash budget is plan indicating expected inflows (receipts) and outflows (disbursements) of cash.*

ooo (04) **What is master budget?** 99%

[Test Exam : B M Suhrawardy, Debendra College: N.U. 2013 (Old); 2016 (Acc.) ;2017, 2019, 2021 (Mgt.); 2021 (Finance)]

Ans : The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 05. **What is financial budget?** *[N.U. 2018 (Acc.)]*

Ans : Financial budget is the part of master budget that focuses on the effects of the operating budget and other plans will have on cash balances.

০০০ 06. What is fixed budget? 99% *[N.U. 2023 (Finance)]*

Ans : Fixed budget is a budget which is designed to remain unchanged irrespective of the level of activity actually attained.

০০০ 07. What is sales budget? *[N.U. 2017 (Acc.)]*

Ans : A sales budget is detailed schedule showing the expected sales of the budget period typically it is expressed in both price and units of product.

০০০ 08. What do you mean by production budget?

Ans : Production budget is a detailed plan showing the number of units that must be produced during a period in order to meet sales and inventory needs.

০০০ 09. What is budgeting cycle? 99%

[N.U. 2021 (Mgt.); 2022 (Finance)]

Or, What is budget cycle?

Ans. All the activities of budgetary control system are to be done in circulating nature. This circulating nature of budgeting is called budgeting cycle.

০০০ 10. What is capital budgeting? *[N.U. 2016 (Mgt.)]*

Ans : Capital budgeting refers to the planning of expenditure whose returns are expected to spread over a series of years.

০০০ 11. What is payback period? 99%

[N.U. 2020 (Finance)]

Ans : The payback period is the length of time that it takes for a project to recover its initial cost from the net cash inflows that it generates.

০০০ 12. What is cost of capital?

Ans : The appropriate interest rate is the cost of the finance provided to the company by shareholders and other investors, as investment projects have to earn a return at least sufficient to pay the interest on the funds they utilize. *[N.U. 2021 (Finance)]*

০০ 13. What is NPV? *[N.U. 2017 (Acc.); 2016 (Mgt.)]*

Ans : Capital investments usually earn return that extends over fairly long period of time.

০০ 14. Define profitability index?

Ans : A measurement of the profitability of an investment computed by dividing the net present value by the initial cost of investment.

০০০ 15. Write the formula of net profitability index?

Ans : Net Profitability Index = PI – 1.

০০০ 16. What is meant by MAPI?

Ans : The MAPI method developed by the machinery and Allied Products Institute by George Trough is a sophisticated method. Which does not appear to be widely.

০০০ 17. What is IRR? 99%

[Test Exam : B.M, M.M, Suhrawardy & Debendra College; N.U. 2015 (Old); 2018, 2021 (Mgt.); 2021 (Acc.)]

Or, What is meant by IRR?

Ans : IRR is the discount rate at which the present value of expected cash inflows from a project equals the present value of expected cash outflows of the project.

18. Write down the full form of IRR. [N.U. 2024 (Finance)] [২০২৪ সালে যা এসেছিল]

***Ans :** The full form of IRR is Internal Rate of Return.*

19 What is meant by budgetary control? 99%

[N.U. 2016, 2018 (Acc.); 2017, 2020 (Mgt.); 2016, 2022 (Finance)]

Or, What is budgetary control?

Ans. The exercise of control in the organization with the help of budgets is known as budgetary control.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

20 What is zero based budget? 99% *[N.U. 2016, 2018 (Acc.); 2017, 2019, 2023 (Finance)]*

Ans. The budget which comes from zero is called budget zero based budget.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

21 What is capital rationing? 99% *[N.U. 2016, 2020, 2021 (Acc.); 2017, 2019 (Mgt.); 2017, 2019, 2022, 2023 (Finance)]*

Ans. Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 22. What is budget centre? *[N.U. 2018 (Acc.)]*

Ans. Budget centre is the segment of the enterprise in respect of which budget is first prepared.

০০ 23. What is operating budget? *[N.U. 2019 (Acc.)]*

Ans. The operating budget focuses on the income statement and its supporting schedules or in an organization with no sales revenues on budgeted expenses and supporting schedules.

০০০ 24. Define working capital. 99%

[N.U. 2018, 2020 (Mgt.); 2021 (Acc.)]

Or, What is working capital?

Ans. Working capital is the amount of money a business has available to funds its day to day operation.

ooo 25. **Elaborate IFAC.** *[N.U. 2017 (Finance)]*

Ans. International Federation of Accountants.

ooo 26. **What is sales forecasting?** *[N.U. 2017 (Finance)]*

Ans. Sales forecasting is a statement of what the amount or value of a company's sales is likely to be in the future, based on information available now about the market, past sales, etc.

ooo 27. **What is proforma statement?** *[N.U. 2017 (Finance)]*

Ans. The master budget/proforma statement is a set of interrelated budget, that constitute a plan of action for a specified time period.

ooo 28. **What is strategic budget?** 99%

Ans. The budget adjusted for strategic planning is called strategic budget. *[N.U. 2020 (Finance)]*

ooo 29. **Elaborate : TQM, CAT.** *[N.U. 2021 (Mgt)]*

Ans. TQM = Total Quality Management. and CAT = Certified Accounting Technician.

Part- B & C (Short & Broad Questions) :

ooo 01. **What is the meaning of budget and budgetary control?** 99%

[Ans : ফিন্যান্সিয়াল ম্যানেজমেন্ট ইন বাংলাদেশ (৩য় খণ্ড) বইয়ের 196+198 Page 6.01+6.09 No.]

Or, Define of budget and budgetary control? *[Test Exam : Dhaka College; N.U.BBA (All)-2005, 2009, 2010]*

ooo 02. Define sales budget, Describe the factors considered in preparing sales budget. *[N.U. (Acc.) 2018]*

[Ans: 204 Page 6.28 + 6.29 No.]

ooo 03. **Discuss the components of a master budget.** 99% **[Ans: 201 Page 6.21 No.]**

[Test Exam : Dhaka, Magara, Monsar Ali, Daokandi, Nzaimuddin, Pabna College N.U. (All)-2015;(Acc.)-2018; (Finance)-2017]

ooo 04. What are the differences between strategic planning and long-range planning? **[Ans: 213 Page 6.71 No.]**

[N.U. (Finance)-2017]

oo 05. "Budgetary control is a tool of technique of management"–Explain. **[Ans: 200 Page 6.16 No.]**

[N.U. (Finance)- 2021]

ooo 06. **What are the differences between budget and budgetary control?** 99% **[Ans: 199 Page 6.13 No.]**

Or, Distinguish between budget and budgetary control. [Test Exam : Dhaka, Eden & Debendra College; N.U. (All)-2005, 2007, 2008, 2010, 2014, 2015; (Acc.) 2017; (Mgt.)-2016; (Finance) 2022; D.U. (Acc.) 2017]

oo 07. Discuss the essentials of a good budgetary control. **[Ans: 203 Page 6.25 No.]**

[Test Exam : Pangsha, B.L, B.M, Satkhira, Sadat College; N.U. (Acc.) 2016; Finance-2019]

(08) **Distinguish between budget and forecast.** 99% **[Ans: 199 Page 6.14 No.]**

[N.U. (All)-2013;(Acc.)-2016; (Mgt.)-2017; (Finance) 2023]

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 06 & 08 No. Questions in are most important for the Examinee of 2025. ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

1. Purchase Budget

oo **Problem-01** ***Basic Question & Solution***

The sales director of a manufacturing company reports that next year he expects to sell 54,000 units of a certain product. The production manager consults the store-keeper and casts his figures as follows :

Two kinds of raw materials, A and B are required for manufacturing the product. Each unit of the product requires 2 units of A and 3 units of B. The estimated opening balances at the commencement of the next year are :

Finished product – 10,000 units, A – 12,000 units, B – 15,000 units.

The desirable closing balances at the end of the next year are:

Finished product – 14,000 units, A – 13,000 units, B– 16,000 units.

Draw up a quantitative chart showing the materials purchases budget for the next year.

Solution : ফিন্যান্সিয়াল ম্যানেজমেন্ট ইন বাংলাদেশ (৩য় খণ্ড) বইয়ের ২১৫ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

⊗⊗ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–08**

AZ Company has the following information :

Month	March	April	May	June	July
Budgeted sales (Tk.)	5,00,000	5,30,000	5,10,000	5,45,000	5,25,000

In addition, the gross profit rate is 40% and the desired inventory level is 30% of next month's cost of sales. You are required to prepare a purchases budget for April through June.

Solution: ৬২৭ পৃষ্ঠার **Question No-08** নং প্রশ্নের উত্তর দেখুন।

2. Sales Budget

○○○ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old-2015 No–15(b); 3rd (Finance) 2019 No–15**

PQR Ltd./ABC Ltd. produces and sales two types of products named 'K' and 'M'. In 2017, the sales of the products were as follows :

Regions	Product A	Product B
East	20,000 units	30,000 units
West	25,000 units	35,000 units

The standard selling price of product 'K' and 'M' are Tk. 5 and Tk. 8 respectively. The following points are to be considered in preparation of sales budget in 2018.

(a) The selling price of 'K' should be reduced by 20% to increase the volume of sales by 30%.

(b) Due to scarcity of raw materials of product 'M', 20% of the plant in which 'M' is produced will remain idle for which selling price of 'M' should be increased by 25%.

Prepare a sales budget for 2018.

Solution : ২১৬ পৃষ্ঠা **Problem-02** নং প্রশ্নের উত্তর দেখুন।

3. Labour Budget

○○ **Problem-04** ***Basic Question & Solution***

For Everly Company, units to be produced are 5,000 in 1st quarter and 6,000 in 2nd quarter. It takes 1.5 hours to make a finished unit and the expected hourly wage rate is Tk. 14 per hour. Prepare a direct labour budget by quarters for the 6 months ending June 30, 2013.

Solution : ২১৬ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

4. Overhead budget

○○ **Problem-05** ***Basic Question & Solution***

Hardin Company is preparing its manufacturing overhead budget for 2013. Relevant data consist of the following.

Units to be produced (by quarters) : 10,000, 12,000, 14,000, 16,000.

Direct labour : Time is 1.5 hours per unit.

Variable overhead costs per direct labour hour ; Indirect materials Tk. 0.70; indirect labour Tk. 1.20 and maintenance Tk. 0.50.

Fixed overhead costs per quarter : Supervisory salaries Tk. 35,000, depreciation expense Tk. 16,000 and maintenance Tk. 12,000.

Instructions ; Prepare the manufacturing overhead budget for the year showing quarterly data.

Solution : ২১৭ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

5. Materials Budget

০০ **Problem-06** ***Basic Question & Solution***

Ortiz Company has 1,600 pounds of raw materials in its December 31, 2012, ending inventory. Required production for January and February of 2013 are 4,000 and 5,500 units, respectively. Two pounds of raw materials are needed for each unit, and the estimated cost per pound is Tk. 6. Management desires an ending inventory equal to 20% of next month's materials requirements. Prepare the direct materials budget for January.

Solution : ২১৭ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

6. Production Budget

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–7**

Nike made 50,000 basket-balls in a given year. Its manufacturing cost were Tk. 2,88,000 variable and Tk. 95,000 fixed. Assume that no price changes will occur in the following year and that no changes in production methods applicable.

Compute the budgeted cost for producing 55,000 basket balls in the following year.

Solution : ২১৮ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল]

☒☒ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–15**

Gold Star Ltd. manufactures product X and product Y. During the year ending 31 December, 2024 it is expected to sell 30,000 kg of product X and 70,000 kg of product Y at Tk. 10 and Tk. 15 per kg respectively. The direct material A, B and C are mixed in the proportion 3 : 5 : 2 in the manufacture of product X. Material B and C are mixed in the proportion of 1 : 2 in the manufacture of product Y.

The budget inventories for the year are given below :

	Opening stock	Closing stock	Anticipation cost per kg
Raw material-A	4,000	5,000	4.00
Raw material-B	5,000	7,000	5.00
Raw material-C	23,000	10,000	3.00
Product-X	5,000	3,000	
Product-Y	7,000	6,000	

Prepare the production budget and the materials purchase budget for the year ended 31 December, 2024.

Solution : ৬৩২ পৃষ্ঠার **Question No-15** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No–12; Finance-2018 No–14**

Ahsan Ltd. manufactures product A and product B. During the year ending 31st December, 2017, it is expected to sell 20,000 kg of product A and 80,000 kg of product B at Tk. 12 and Tk. 10 per kg respectively. The direct material X, Y and Z are mixed in the proportion of 3: 5: 2 in the manufacture of product A. Material Y and Z are mixed in the proportion of 1: 2 in the manufacture of product B.

	Opening stock	Closing stock	Anticipation cost per kg
			Taka
Raw material-X	5,000	4,000	5.00
Raw material-Y	4,000	8,000	4.00
Raw material-Z	25,000	8,000	3.00
Product-A	5,000	3,000	
Product-B	6,000	7,000	

Prepare the production budget and the materials purchase budget for the year ended 31st December, 2017.

Solution : ২২০ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2016 No–15(c)**

The production manager of XYZ company desires to maintain an inventory of raw material equal to the budgeted production needs of the next 2 months. Each unit of product takes 10 kgs of raw materials. Inventory of finished goods is usually maintained at one and half (i,e.1.5) times of the following month's sales. The forecast sales of 6 months of next year, in units are as follows :

January	3,600	April	4,800
February	4,200	May	5,600
March	3,200	June	3,800

On December 31 of last year, there were 80,000 kgs of raw material on hand and 5,600 units of finished goods.

You are required to prepare :

(i) Budget for production.

(ii) Budget for purchase of raw material in units for as many months as possible.

Solution : ২২১ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

7. Cash Budget

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance- 2016 No–08**

Actual sales and sales budget of Ratna Ltd are given below :

August (Actual sales)	Tk. 3,30,000
September (Actual sales)	Tk. 3,80,000
October (Budgeted sales)	Tk. 4,20,000
November (Budgeted sales)	Tk. 3,90,000
December (Budgeted sales)	Tk. 4,50,000

20% of sales in cash when sales are made and the balance on credit. Credit sales are collected 60% the following month and remaining 20% second month of the following sales.

Show the schedule of cash collection.

Solution : ২২২ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Old 2014 No–06; Finance 2021 No–09**

Sales proceeds of a Co. are collected as follows:

40% in the month of sales

40% in the second month and

20% in the third month.

Sales for the month of June Tk. 2,40,000. Accounts receivable are Tk. 1,20,000 in May, 31, 2015. Consisting of Tk. 30,000 from April sales and Tk. 90,000 from May sales.

Show the schedule of cash collection from sales for the month of June' 2015.

Solution : ২২৩ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–16(b)**

XYZ Company's sales budget for the third quarter of 2024 is given below :

	April	May	June
Budgeted sales	Tk. 2,50,000	Tk. 3,50,000	Tk. 1,80,000

10% of a monthly sales is collected in the month of sales, 60% is collected in the following month of sales and remaining is collected in the second month following sales. February sales totaled Tk. 1,75,000 and March sales totaled Tk. 2,00,000.

Required :

(i) Show the schedule of cash collection from sales by month.

(ii) Show the account receivable as on closing data.

Solution : ২২৪ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–13; (Acc.) 2016 No–16(b); (Finance) 2020 No– 05; 4th (Acc.) 2016, 2019 No–12; D.U. 3rd (Acc.) 2016 No–15**

Lamiya/Modern/Puspita/Rose manufacturing furniture company has the following forecast data available:

Account Titles	September Tk.	October Tk.
Cash sales	40,000	60,000
Sales on credit	77,500	95,000
Cash purchase	20,000	20,000
Purchase on credit	1,00,000	80,000
Purchase discounts	6,000	3,000
Accounts payable beginning	10,000	12,000
Accounts payable ending	12,000	9,000
Cash operating expenses	46,500	10,000

Net sales on credit are collected 50% in the month of sales, 40% in the following and 10% in the second following months. Such sales in July and August were Tk. 1,00,000 and Tk. 1,20,000 respectively. The estimated September 1 cash balance is Tk. 13,000.

Prepare a cash budget for September and October.

Solution : ২২৮ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No– 13; (Finance) 2016 No–16, 2022 No–14; (Mgt.) 2016 No–15; 2020 No– 16**

From the following information supplied by XYZ Ltd./ABC Ltd. prepare a cash Budget for the period from 1st October, 2010 to 31st December, 2010 :

Months	Credit purchases	Credit sales	Wages and other expenses
	Taka	Taka	Taka
August	92,000	1,85,000	58,000
September	1,00,000	2,10,000	65,000
October	1,20,000	2,45,000	75,000
November	90,000	1,75,000	54,000
December	98,000	1,82,000	56,000

Additional information :

(i) Expected cash balance on 1st October Tk. 10,500.
(ii) Period of credit allowed to debtors—2 (two) months.
(iii) Period of credit allowed by creditors—1 (one) month.
(iv) Lag in payment of wages and other expenses—1 (one) month.
(v) Selling commission @ 2% on sales is payable one month after sales.
(vi) Expenditure on machinery worth Tk. 50,000 is payable in October.

Solution : ২৩০ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–13**

From the following data prepare a cash budget for the 2nd quarter ended June 30, 2020 for Malala Ltd:

Month	Sales (Tk.)	Purchase (Tk.)	Wages (Tk.)
January	3,00,000	2,20,000	12,000
February	3,20,000	2,50,000	13,500
March	3,80,000	2,60,000	15,000
April	3,60,000	2,10,000	16,500
May	4,00,000	2,30,000	18,000
June	3,10,000	2,00,000	19,500

Other data :

(i) All sales are made on credit.
(ii) 40% of the credit sales are collected after 1 month and the balance after two months.
(iii) 80% of the purchases are paid after 2 months and the balance after 3 months.
(iv) Lag in payment of wages $\frac{1}{3}$rd month.
(v) Lag in payment of overhead is 1 month.
(vi) A plant is to be purchased in May for Tk. 25,000
(vii) Overhead paid per month Tk. 15,000.
(viii) Expected cash balance on 1st April, 2020 Tk. 30,000.

Solution : ২৩১ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Acc.-2017 No–17**

From the following information prepare a cash budget for the three months starting June-1, 2017. The cash balance on that date is Tk. 1,10,000.

Account Titles	April Taka	May Taka	June Taka	July Taka	August Taka
Sales	90,000	92,000	1,00,000	90,000	85,000
Selling overhead	3,500	4,000	4,200	4,500	3,000
Purchase	30,000	35,000	40,000	40,000	25,000
Wages	8,000	9,000	10,000	8,500	8,800
Factory overhead	7,000	6,000	3,000	3,500	4,000
Administrative overhead	3,000	4,000	3,500	4,500	5,000

Other information :

(a) A sales commission of 2% on sales are due 2 months after sales is payable in addition to the above selling overheads.
(b) Plant purchases June 01 for Tk. 38,000, payable in July.
(c) Building a purchases in the month of June for Tk. 80,000, payable in August.
(d) A dividend of Tk. 20,000 will be paid in July.
(e) Sales and purchases are made 10% on cash. Credit allowed by suppliers is one month. Debtors are allowed two months credit.
(f) Time lag in payment of wages and all other overheads is 15 days.

Solution : ২৩৭ পৃষ্ঠার **Problem-29**.নং প্রশ্নের উত্তর দেখুন।

8. Capital Budget

ooo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 7**

BSP chemical company is considering a project which requires an investment of Tk. 40,000. The estimated salvage value is zero. Tax rate 40%, cost of capital 10%. The company uses straight line depreciation and the proposed project cash flows before tax (CFBT) as follows :

At the end of year	1	2	3	4	5
CFBT	Tk. 10,000	10,000	15,000	15,000	25,000

Determine average rate of return (ARR).

Solution : ২৪১ পৃষ্ঠার **Problem-32** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-19** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Finance-2018 No–15**

R.K Ltd. is considering on investment proposal to install new equipment facility. The project will cost Tk. 65,000 having a life expectancy of 5 years. The project has no salvage value. The firm uses straight line method of depreciation. The company's tax rate is 40%. The essential cash flow before depreciation and tax (CFBT) from the proposed investment proposal are as follows :

Year	CFBT
	Taka
1	10,500
2	18,000
3	12,500
4	19,000
5	14,000

You are required to calculate the net present value (NPV) at 10% and give your opinion about project.

Solution : ২৪২ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-20** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 07; (Mgt.) 2021 No–8**

A project initial cost is Tk. 80,000. Its expected life is 5 years and discount rate is 10%. Cash inflows are given below :

Year	Amount
	(Taka)
1	24,000
2	30,000
3	26,000
4	20,000
5	28,000

You are required to calculate discounted payback period.

Solution : ২৪৪ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-21** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old-2015 No–16(b)**

TQM Enterprise wants to install a machine costing Tk. 5,00,000 with a life expectancy of 5 years and Tk. 50,000 as residual value. The machine is expected to yield an annual net cash benefit of Tk. 1,50,000. The machine will also require a working capital of Tk. 40,000. If the required rate of return is 12%, should the project be accepted by TQM Enterprise?

Solution : ২৪৬ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-22** ***Year Question & Solution*** ⊙**N.U. BBA (Hon's) 3rd (Old) 2012 No–06; (Acc.) 2016 No–08; Finance-2016 No–06**

Hannan Manufacturing Co, Ltd./Hasan Manufacturing Co. Ltd./Mounia Manufacturing Ltd. is examining the profitability of investing in new project. The following information is available in respect of the project :

Investment	Tk. 12,60,000
Residual value at the end of life	Tk. 60,000
Life of the project	20 years
Annual profit of the project (before tax)	Tk. 1,80,000
Tax rate 50%	

Required :

(i) Annual cash in flow :

(ii) Payback period :

(iii) Rate of return on average investment

Solution : ২৪৭ পৃষ্ঠার **Problem-42** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-23** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old-2014 No–04; Finance-2018 No–07**

Diya Enterprise is considering a new product line. The details of the investment proposal are as follows : :

	Tk.
Initial cash outlay	Tk. 1,00,000
Expected life	5 years
Scrap value	Tk. 10,000
Working capital	Tk. 20,000
Year	CFBT (in Tk.)
1	25,000
2	30,000
3	32,000
4	15,000
5	40,000

The project cost of capital is 10% and tax rate 45%. Depreciation will be straight line basis. You are required to calculate :

(i) Pay back period;

(ii) Average rate of return.

Solution : ২৫১ পৃষ্ঠার **Problem-46** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-24** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Mgt.-2018 No–14**

A company is considering an investment proposal which requires an initial cash outlay of Tk. 50,000. The investment will have a life of 5 years. The project will have no salvage value at the end of the life. The company uses straight line method at depreciation. The company's tax rate is 40%. The estimated cash flow before tax are follows :-

Year	Cash flows (Taka)
1	12,000
2	14,000
3	16,000
4	18,000
5	20,000

The PV factors are : 0.9091; 0.8264; 0.7513; 0.6830 and 0.6209

Required :

(i) Pay back period (PBP)

(ii) Net present value (NPV)

(iii) Profitability index (PI)

(iv) Net profitability index (NPI)

(v) Super life

Solution : ২৫৫ পৃষ্ঠার **Problem-50** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-25** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–12; Acc. 2019 No–16(b)**

Crown Ltd. is considering a proposal to install a new machine. The project will cost Tk. 1,00,000 and have an estimated life of 5 years.

Estimated cash flow before tax (CFBT) of the project are as follows :

Year	1	2	3	4	5
CFBT	25,000	30,000	35,000	50,000	40,000

This company charges depreciation on straight line basis. Tax rate for the company is 50%.

Required : (i) Calculate pay back period. (ii) Calculate average rate of return. (iii) Calculate net present value at 10% discount rate.

Solution : ২৫৬ পৃষ্ঠার **Problem-51** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০ **Problem-26** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Finance-2017 No–13**

A company purchased a machine two years ago. In the meant time, most modern machines are available in the market. The company wants to examine whether the replacement of the old machine by a new one would be profitable. The particulars relating to the two machines are given below :—

	Old Machine (Tk.)	New Machine (Tk.)
Cost	1,40,000	1,80,000
Book value	1,00,000	—
Realizable value	60,000	—
Realizable value after 5 years	10,000	40,000
Overhauling cost after 3 years	25,000	—
Annual operating cost (excluding depreciation)	70,000	25,000

Cost of capital is 18% and tax rate is 40%. Should the machine be replaced?

Solution : ২৬০ পৃষ্ঠার **Problem-54** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-27** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 12**

A Company wants to invest in a project the initial outlay of which is Tk. 27,000. The relevant cashflows of the project is given below :

Year	Cash flow
1	11,000
2	10,000
3	9,000
4	8,000

The firms cost of capital is 14%. Calculate :

(i) Net present value (NPV)

(ii) Internal rate of return (IRR).

Solution : ২৬২ পৃষ্ঠার **Problem-56** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-28** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–15**

MM Ltd. is considering investing in a project that requires Tk. 2,00,000 cash outlay. Depreciation on Straight Line basis towards zero salvage value. Corporate tax rate 25% and cost of capital 12%. Estimated gross cash flows (CFBT) are as follows :

Year	1	2	3	4	5
CFBT	80,000	1,00,000	1,40,000	90,000	60,000

Is the project acceptable considering the IRR.

Solution : ২৬৩ পৃষ্ঠার **Problem-57** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-29** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance)-2022 No–15**

Hasan Chemical Company is considering a project which requires an investment of Tk. 8,00,000. The estimated salvage value is zero, Tax rate is 50% and cost of capital is 10%. The company uses straight line depreciation and the proposed cash flows before tax (CFBT) as follows :

Year	CFBT
1	Tk. 2,00,000
2	2,00,000
3	3,00,000
4	3,00,000
5	5,00,000

Determine the following :

(i) Payback period

(ii) Net present value

(iii) Internal rate of return.

Solution : ২৬৫ পৃষ্ঠার **Problem-59** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-30** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Mgt.-2017 No–17**

You are a financial analyst of a company. The director of capital budgeting has asked you to analyze two proposed capital investments, project A and B. Each project has a cost of Tk. 10,000 and the cost of capital for each project is 12%. The project's expected net cash-flows are as follows :

Expected net cash-flows

Year	Project A	Project B
0	(Tk. 10,000)	(Tk. 10,000)
1	6,500	3,500
2	3,000	3,500
3	3,500	3,000
4	1,500	2,500

(i) Which project should be accepted if they are independent?

(ii) Which project should be accepted if they are mutually exclusive?

Solution : ২৬৯ পৃষ্ঠার **Problem-63** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-31** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2019 No–16**

From the following data calculate :

(i) Pay back period.

(ii) NPV.

(iii) IRR for the following projects.

Assume a required rate of return 14% and 40% tax rate. The company has a policy of charging depreciation on straight line method.

	Project-X	Project-Y
Initial outlay	Tk. 1,00,000	Tk. 1,40,000
Salvage value	Nil	Tk. 20,000
Expected life	5 years	5 years

Earnings before depreciation and taxes

Year	Taka	Taka
1	25,000	45,000
2	30,000	35,000
3	20,000	30,000
4	20,000	30,000
5	15,000	25,000

Which of the projects would you select and why?

Solution : ২৭২ পৃষ্ঠার **Problem-65** নং প্রশ্নের উত্তর দেখুন।

Chapter 07 Flexible Budget

(নমনীয় বাজেট)

Part-A : Brief Questions & Solutions :

01. What do you mean by flexible budget? 99%
[N.U. 2013, 2015 (Old); 2017, 2020 (Acc.); 2018 (Mgt.); 2022 (Finance)]
Or, What is flexible budget?
Ans : Flexible budget is a budget which is designed to change in accordance with the level of activity actually attained.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 02. What is static budget? 99%
Or, What do you mean by static/fixed budget? *[N.U. 2021 (Finance)]*
Ans : A budget which is designed to remain unchanged irrespective of the level of activity actual attained is called static/fixed budget.

ooo 03. What is budget variance? 99%
[N.U. 2018 (Acc.); 2019 (Finance)]
Ans : A budget variance is an accounting term that describes instances where actual costs are either higher or lower than the standard or projected costs.

ooo 04. Write down steps of preparing flexible budget.
Ans : (a) Fix the range of activity level,
(b) Cost analysis,
(c) Select the activity level,
(d) Prepare the budget at each activity level.

ooo 05. What is cost behaviour analysis?
Ans : Cost behaviour analysis is the study of how specific costs respond to changes is the level of business activity.

ooo 06. Mention feature of variable cost.
Ans : There are two variable cost:
(i) Variable cost in total amount as the activity level changes.
(ii) Unit variable cost is fixed.

07. Write down two examples of semi-variable costs. [N.U. 2016 (Mgt.); 2017, 2020, 2024 (Finance)] [২০২৪ সালে যা এসেছিল]
Or, Give two examples of semi-variable costs.
***Ans :** Telephone expenses (Fixed or land phone), Light and Electricity expenses.*

08. What is semi-variable cost? 99%
[N.U. 2017 (Acc.); 2020 (Mgt.); 2022 (Finance)]
Ans. Semi-variable cost is the mixture of variable cost and fixed cost.
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 09. Write two example of variable costs.
[N.U. 2017 (Finance)]
Ans : There are two variable cost:
(i) Direct labor.
(ii) Direct material.

10. Why farm use flexible budget? [২০২৪ সালে যা এসেছিল] *[N.U. 2024 (Finance)]*
***Ans :** Farm use a flexible budget because it adjust with changes in activity level and helps in better cost control and performance evaluation.*

Part- B & C (Short & Broad Questions) :

ooo 01. What is variable cost? 99% **[Ans: সিদ্ধান্ত ক্যাটেলস ইন্টারন্যাশনাল (৩য় খণ্ড) বইয়ের 277 Page 7.11 No.]**
Or, Define of variable cost.

oo 02. Define and explain fixed and flexible budget. **[Ans: 274+277 Page 7.01 + 7.13 No.]** *[N.U. (All)-2007]*

ooo 03. What are the advantages of flexible budget? 99% **[Ans: 275 Page 7.02 No.]**
[Test Exam : Siddashsori College; N.U. Acc.-2016, 2017, 2021; (Mgt.)-2018]
Or, Discuss the importance of flexible budget.

oo 04. Discuss the Features/Characteristics of flexible budget. **[Ans: 275 Page 7.04 No.]** *[D.U. (Mgt.)-2016]*

05. Distinguish between flexible budgets and master budgets. 99% **[Ans: 278 Page 7.18 No.]** *[N.U. (Finance)-2020]*
[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

16. (a) Mention the five differences between fixed budget and flexible budget. **[Ans : Page No 276 ; Ques. No 7.08]**
Or, Show the four differences between fixed budget and flexible budget.
[N.U. (All)-2012, 2015(Acc.) 2017; (Finance)-2018, 2024]
Or, Show the differences between fixed budget and flexible budget.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 03 & 05 No. Questions in are most important for the Examinee of 2025. ....., Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

Problem-01 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2022 No–8**

Padma Ltd. is currently running at 100% capacity and produces 8,000 units, cost per unit as per details below :

	Taka
Materials	17
Labour	9
Factory overheads	6 (Tk 4 variable)
Administrative overheads	3 (Fixed)

The current selling price is Tk. 45 per unit. Prepare flexible budget for 80% and 100% capacity.

Solution : মিলন্যান্স ব্যাকেট ইন্টারপ্রেস (৩য় খণ্ড) বইয়ের ২৮০ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা-এসেছিল-

Problem-02 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–16(b)**

Using the following information, prepare a flexible budget for the production of 80% and 100% activity :

Production at 50% capacity	5,000 units
Raw materials	Tk. 80 per unit
Direct labour	Tk. 50 per unit
Direct expenses	Tk. 15 per unit
Factory expenses	Tk. 50,000 (50% fixed)
Administration expenses	Tk. 60,000 (60% variable)

Solution : ৬৩৩ পৃষ্ঠার **Question No-16(b)** নং প্রশ্নের উত্তর দেখুন।

Problem-03 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2023 No–17; (Mgt) 2021 No– 14**

The expenses budget for production of 10,000 units in a factory are given below :

Accounts titles	Unit cost (Tk.)
Raw materials	80
Labor	30
Variable overheads	20
Fixed overheads (Tk. 1,00,000)	10
Variable expenses (Direct)	5
Selling expenses (10% fixed)	14
Distribution expenses (20% fixed)	8
Administrative expenses (Tk. 50,000)	5
Total cost per unit	172

Prepare a flexible budget for the production of 6,000 units and 8,000 units.

Solution : ২৮১ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No– 15**

From the following data prepare a flexible budget of Jamuna Ltd. producing a single product for 80% and 100% capacity level. The break up of existing unit cost at 70% working level is :

Raw materials Tk. 8

Wages Tk. 4

Variable overhead Tk. 10

Besides the above, the semi-variable costs for producing 14,000 units are :

Indirect materials Tk. 47,000

Indirect labour Tk. 31,200

Repairs Tk. 24,000

The variable costs per unit included in semi-variable costs are indirect materials Tk. 1.00, labour Tk. 1.50 and repairs Tk. 1.25.

The fixed costs are :

Factory overhead Tk. 26,000

Administrative overhead Tk. 46,000

Selling overhead Tk. 42,000 (Tk. 1.00 per unit variable)

Present output: 14,000 units

Selling price per unit Tk. 38.

Solution : ২৮৪ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Mgt.) 2019 No–15**

MARSA Ltd. is engaged in production of certain product at an estimated cost per unit as under :

	Taka
Raw materials	15
Direct wages	10
Direct expenses	3
Variable overhead	5
	33

The company has production capacity of 20,000 units at 100% level. The semi-variable overhead is estimated at Tk. 60,000 at 100% level and it varies in steps of Tk. 2,500 for each change of output of 2,000 units. Fixed overhead is estimated at Tk. 70,000 and the products are sold in the market at Tk. 50 per unit.

Prepare a flexible budget at 50%, 70% and 90% level.

Solution : ২৮৫ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2016 No-14; 2017 No-15**

On the basis of standard working level (100% normal capacity), the following information is given about Nitol Industry :

Standard working level (100%) = 4,000 labour hours.

Account titles	**Fixed expenses Tk.**	**Variable expenses per unit Tk.**
Insurance	5,000	
Taxes	4,000	
Depreciation	8,000	
Supervisor salaries	12,000	
Variable expenses :		
Indirect materials and supplies		3.00
Indirect wages		2.00
Miscellaneous		0.50

Semi-variable expenses :		
Maintenances	5,000	1.00
Power house	8,000	0.50
General	3,000	0.50

Required : Prepare a flexible budget at 90%, 100% and 110% working level of indirect production expenses and calculate expense rate at these level.

Solution : ২৮৬ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No– 17(b)**

M Company Limited has been operating at 60% capacity (12,000 units). The following details are obtained from the records of the company for the year 2019 :

	Taka
Direct materials	1,20,000
Direct labour	60,000
Direct expenses	36,000
Works overhead (60% variable)	20,000
Administrative overhead (fixed)	44,000
Selling and distribution overhead (40% variable)	30,000
Sales	3,60,000

To boost up sales above 75% level of activity, a reduction of 5% in the selling price is contemplated. On the basis of above information, you are required to make a flexible budget for the company at 50%, 75% and 100% capacity level.

Solution : ২৮৭ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Acc. 2018 No-16**

From the following details against production of 8,000 units in 2016, Prepare flexible budget for 10,000 and 12,000 units for 2017 :

	Taka
Materials	40,000
Direct expenses	16,000
Wages	30,000
Factory expenses	20,000
Administrative expenses.	40,000
Selling expenses	30,000
Total expenses.	1,76,000
Sales	2,40,000
Profit	Tk. 64,000

Materials cost is likely to go up by 2% per unit. Wages are paid at a piece rate of Tk. 3 per unit. The fixed benefits paid to worker are likely to go up by 10%. Administrative expenses may go up by 5% due to normal increment. Selling expenses rise by 5% against increase of 20% or any part there of above 8,000 units. All selling prices are to be reduced by 10% if production above 10,000 units are to be sold.

Solution : ২৯০ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No-15(b); 3rd (Finance) 2017 No-09; 2019 No-16; MBA Preli (Mgt.) 2014 No-4(b)**

A factory is currently running at 50% capacity and produces 10,000 units at a cost of Tk. 180 per unit as per details below :

Material Tk. 100, wages Tk. 30, factory overhead Tk. 30 (40% fixed), administration overheads Tk. 20 (50% fixed). The current selling price is Tk. 200 per unit.

At 60% capacity working, material cost per unit increased by 2% and selling price per unit falls by 2%. At 80% capacity working material cost per unit increased by 5% and selling price per unit falls by 5%.

Prepare a marginal cost statement showing the total cost and profit for the three capacity levels. Also give your comments on the profitability at these levels of performance.

Solution : ২৯৩ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No– 06**

The monthly budgets for the manufacturing overhead of a concern for two levels of activity are as follows :

Capacity	60%	100%
Budgeted production units	600	1,000
Cost items:	Taka	Taka
Indirect wages	12,000	20,000
Materials	9,000	15,000
Maintenance	11,000	15,000
Power and fuel	16,000	20,000

Required : Segregate variable costs and fixed costs of the items by using high and low points method.

Solution : ২৯৬ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old 2008, 2010, 2012 No-10; 3rd (Finance)-2022 No–16**

The monthly budgets for the manufacturing overhead of a business concern for two levels of activity are as follows :

Capacity	60%	100%
Budgeted production (Units)	600	1,000
Indirect wages	Tk. 12,000	Tk. 20,000
Materials	9,000	15,000
Maintenance	11,000	15,000
Power and fuel	16,000	20,000
Depreciation	40,000	40,000
Insurance	10,000	10,000

Required :

(i) Indicate which of the items are fixed, variable and semi-variable.

(ii) Prepare a flexible budget for 70%, 80% and 90% capacity.

Solution : ২৯৮ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

Chapter 08 Standard Costing

(প্রমাণ ব্যয় হিসাব)

Part-A : Brief Questions & Solutions :

০০০ 01. What is normal standard? 99%

[N.U. 2023 (Finance)]

Ans : Normal standard is the average standard that is anticipated to be attainable over a future period long enough to cover one trade cycle.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 02. What is standard cost? 99%

Or, What do you mean by standard costing?

[Test Exam : B.M. Edward, Uttara town & Eden College; N.U. 2012, 2013, 2015 (Old); 2019, 2021 (Acc.); 2020, 2022 (Finance); 2021 (Mgt.)]

Or, Define standard cost.

Ans : Standard costing is technique of costing which uses standards for cost and revenue for the purpose of control through variance analysis.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 03. What is current standard?

Ans : Current standard is a standard established for use over a short period of time related to current period of using standard.

০০০ 04. How many types of standard?

Ans : Standard may be divided into the following five classes:

(i) Basic Standard;
(ii) Ideal Standard;
(iii) Expected Standard;
(iv) Normal Standard;
(v) Current standard;

05. What is labour cost variance? [২০২৪ সালে যা এসেছিল] *[N.U. 2017, 2024 (Finance)]*

Or, What do you mean by 'Labour Cost Variance'?

Ans. *Labour cost variance is the difference between standard direct labour cost and actual direct labour cost incurred for the production achieved.*

০০০ 06. What is favorable variance? 99%

Ans : Any variance that has favourable effect on profit is called favourable variance.

০০০ 07. What is unfavourable variance?

Ans : Any variance that has an adverse effect on profit is called unfavourable variance.

০০০ 08. What is uncontrollable variance?

Ans : An uncontrollable variance is one which is not amenable to control by particular individual of departmental head. This variance arises due to factory beyond the control of management.

০০ 09. How many types of variance?

Ans : The following three classes of variance:
(i) Cost Variance;
(ii) Sales Variance;
(iii) Profit Variance.

০০০ 10. How many types of total cost variance?

Ans : Total cost variance is divided into variance for three elements of cost, namely,
(i) Material Cost Variance;
(ii) Labour Cost Variance;
(iii) Overhead Variance.

০০০ 11. What is material cost variance?

Ans : Material cost variance is the different between the standard direct material cost of the actual production volume and the actual cost of direct material.

০০০ 12. What is the material price variance? 99%

[N.U. 2017 (Mgt.); 2020 (Finance)]

Ans : It refers to that portion of material cost variance which is due to the different between the standard prices specified and the actual price for direct materials used.

[রকেট স্পেশাল সাজেশন্স:- উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 13. What is material usage variance?

Ans : The material usage variance is the difference between actual usage and expected usage. It measures the extent of utilization of materials in production.

০০ 14. What is material mix variance?

Ans : Material mix variance is the difference between total quantity of materials in standard proportion, priced at the standard price and the actual quantity of materials, used also priced at standard price.

০০০ 15. What is material yield variance? 99%

Ans : It is the differenced between standard yield of the actual material input and the actual yield, both valued at the standard material cost.

০০০ 16. **What is labour cost variance?**
Ans : Labour cost variance is the difference between standard direct labour cost and actual direct labour cost incurred for the production achieved.

০০ 17. **What is labor rate variance?**
Ans : Labour rate variance is the difference between the standard and the actual direct labor rate per hour for the total hours worked.

০০০ 18. **What is labor efficiency variance?**
Ans : Labour efficiency variance is the difference between the standard hours for the actual production achieved and the hours actually worked, valued at the standard labour rate.

০০০ 19. **What is labour mix variance?**
Ans : It refers to that portion of labour efficiency variance which is due to the difference between the standard grades of workers specified and actual grades of workers utilized.

০০ 20. **What is idle time variance?** *[N.U. 2018 (Acc.)]*
Ans : It is that portion of labour efficiency variance which is due to abnormal circumstances like strike, lock-outs, power failures, machine breakdown etc.

০০০ 21. **What is overhead variance?** 99%
[N.U. 2012 (Old); 2019 (Mgt.)]
Ans : Overhead variance is the difference between the standard cost of overhead absorbed in the output achieved and the actual overhead incurred.

০০০ 22. **What is fixed overhead cost variance?** 99%
Ans : It represents the difference between the standard fixed overhead cost charged to production and actual fixed overhead cost incurred.

০০০ 23. **Why standard costing is important?**
Ans : Standard costing is important because, standard costing increases institutional working efficiency, determine depreciation and losses and control cost of the business.

০০ 24. **What is the main characterizing of standard costing?**
Ans : All elements of cost to be pre-determined. Such as materials, labour and overhead costs are pre-determined.

০০০ 25. **What is basic (fixed or static) standard?**
Ans : This standard remains constant for a long period of time and hence it is also turned as long-term standard. This standard may be suitable for those items of cost which are fixed in nature (such as managerial salaries, interest on capital, etc).

০০ 26. **What is historical standard?**
Ans : The capacity to be utilized on the basis of past capacity, present situation and future changes is called expected capacity. A standard which is set up on expected capacity is called expected standard.

০০০ 27. **How can you set a standard?**
Ans : I can set a standard on the basis of normal activity level of same nature business. It must be verified by the specialist of related subject.

০০০ (28) **What is the main advantage of standard costing?** 99% *[N.U. 2019'(Finance)]*
Ans : The main advantage of standard costing is to turn out disadvantage of historical costing.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০ 29. **What do mean by historical cost?**
Ans : Historical cost that type of cost which has been expended and no expectation to recover this cost.

০০০ 30. **What is expected (attainable or practical) standard?**
Ans : Expected standard is a standard which can be attained if a unit of work is carried out efficiently, a machine properly operated, materials properly used. This standard is more realistic, in nature and is best suited from cost contral point of view.

০০ 31. **What is controllable variances?**
Ans : Controllable variance is one which is amenable to control by a particular individual or departmental head who is responsible for the variance. The management should place more emphasis on this variance as corrective actions may be taken to control this variance.

০০০ 32. **What is high low method?** *[N.U. 2017 (Acc.)]*
Ans. High low method such method which to calculate variable overhead rate.

০০০ 33. **What is variance?** 99% *[N.U. 2020 (Acc.)]*
Ans. According to CIMA variance analysis is a process of determining variance and causes of its.

০০০ 34. **What types of organization makes use of standard costing?** 99% *[N.U. 2019 (Mgt.)]*
Ans : The organization those are relating to production use standard costing.

০০০ (35) **Give two example of non-cash expenses.** 99%
[N.U. 2016 (Finance)]
Ans : (i) Depreciation and (ii) Written off goodwill.

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 36. **Write down the formula of segregation semi-variable cost by high-low method.**
[N.U. 2016 (Finance)]
Ans : High low method

$$= \frac{\text{High value} - \text{Low value}}{\text{High unit} - \text{Low unit}}$$

Part-B & C (Short & Broad Questions) :

ooo 01. What is standard cost? [Ans: ফিনান্সিয়াল ম্যাথেমেটিক্স ইন্ডিপেন্ডেন্ট (৩য় খণ্ড) বইয়ের 310 Page 8.14 No.]
Or, What do you mean by standard cost?

ooo 02. **Discuss the merits and limitations of standard costing.** 99% **[Ans: 314 Page 8.29 No.]**
[Test Exam : Suhrawardy, Comilla, Haraganga, Sirajgonj, Sachal, Rajandra College; N.U. (All)-2015; D.U. (Mgt.)-2016]

oo 03. What is meant by material mix variance? **[Ans: 314 Page 8.27 No.]**
Or, Define of material-mix variance.

oo (04) **Discuss the objectives of standard costing.** 99% **[Ans: 311 Page 8.18 No.].** *[N.U. (Finance)-2019]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo 05. What are the difference between standard costing and budgetary control? **[Ans: 308 Page 8.07 No.]**
[N.U. (Finance)-2016, 2020]

oo 06. Discuss the methods for determining standards for standard costing. **[Ans: 308 Page 8.06 No.]**
Or, Discuss the method of standard costing. *[N.U. (All)-2013; (Mgt.)-2017; D.U. (Acc.) 2016]*

oo (07) **Discuss the advantages of standard cost. Point out the potential problems with the use of standard cost.** 99% **[Ans: 312 Page 8.21 No.]** *[N.U. (Finance)- 2017, 2020]*

[রকেট স্পেশাল সাজেশন্স: উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 04 & 07 No. Questions are the most important for the Examinee of 2025 ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

ooo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Mgt. 2017 No-09; (Finance) 2020 No-06; 2022 No–9**

The following are the particulars regarding the standard and the actual production of the product X :
Standard quantity of material per unit 5 kg.
Standard price Tk. 5 per kg
Actual number of units produced 400
Actual quantity of materials used 2,200 kg.
Price of material Tk. 4.80 per kg.
Required : Calculate the material variances.

Solution : ফিনান্সিয়াল ম্যাথেমেটিক্স ইন্ডিপেন্ডেন্ট (৩য় খণ্ড) বইয়ের ৩১৯ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

XX **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–09**

The standard and actual figures of product Z are as follows—

	Standard	Actual
Material quantity	50 units	45 units
Material price per unit	Tk. 1	Tk. 0.80

You are required to find the material costs variance.

Solution : ৬২৮ পৃষ্ঠার **Question No-9** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 08; (Finance) 2023 No–8**

A budget is prepared for producing 1,000 units of product. The cost of 1,100 units of raw materials was fixed at Tk. 1,320 at the rate of Tk. 1.20 per unit. The actual cost of 1,120 units of raw materials at the rate of Tk. 1.25 per unit was Tk. 1,400.

Calculate :

(i) Material usage variance.

(ii) Material price variance.

Solution : ৩১৯ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2010 ; 3rd Mgt.-2016 No-17; (MBA Preli.) (Acc.) 2018 No–8**

Sujan Manufacturing Company/A manufacturing company which has adopted standard costing furnishes the following information :

Standard data: 100 kgs materials for finished product of 70 kgs. The price of materials being Tk. 10 per kg.

Actual data : Output 2,10,000 kgs, Materials used 2,80,000 kgs. Cost of materials Tk. 25,20,000.

Calculate:

(i) Materials cost variance;

(ii) Materiais price variance;

(iii) Materials usage variance;

Solution : ৩২১ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. (MBA Preli.) (Mgt.) 2014 No- 5(b); (Acc.) 2014 No- 8(c); 2017 No- 6(c); 3rd (Old) 2012 No- 17; (Mgt.) 2017 No- 15; 2021 No–17**

The standard mix for producing 8,000 bottles of a product F is :

Material A : 1,000 litters @ Tk. 0.10

Material B : 2,000 litters @ Tk. 0.40

During June, 10,000 bottles of the product F were produced from an input of :

Material A : 1,500 litters @ Tk. 0.11

Material B : 3,300 litters @ Tk. 0.37

Required :

Compute the material price variance, material mix variance, material usage variance and material yield variance.

Solution : ৩২২ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–17**

The standard mix for producing 8,000 bottles of product kinly is :

Material X : 1,000 kg @ Tk. 3

Material Y : 2,000 kg @ Tk. 3.5.

During April, 10,000 bottles of product X were produced from an input of :

Material X : 1,500 kg @ Tk. 3

Material Y : 3,300 kg @ Tk. 3.80

Required :

(i) Material cost variance.

(ii) Material price variance.

(iii) Material usages variance.

(iv) Material mix variance.

(v) Material yield variance.

Solution : ৩২৮ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance-2016 No-17(b)**

Standard cost for producing 100 unit of bucket are given below :

Materials	A	100 kg @ Tk. 10
Materials	B	1,500 kg @ Tk. 8

Actual materials used and actual costs were-

Materials	A	90 kg @ Tk. 9
Materials	B	1,600 kg @ Tk. 10

With the help of the above information calculate all material variances and prove the equation.

Solution : ৩৩৩ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.-2017 No-16; 2023 No-17**

Standard material for 100 units are given below :

Material-A	45 kg	@ Tk. 2.00 per kg
Material-B	40 kg	@ Tk. 4.00 per kg
Material-C	25 kg	@ Tk. 6.00 per kg
	110 kg	
Standard loss	10 kg	
	100 kg	

Actual production 2,000 units and actual material usage is as follows :

Material-A	1,000 kg	@ Tk. 1.90 per kg
Material-B	850 kg	@ Tk. 4.20 per kg
Material-C	450 kg	@ Tk. 6.50 per kg

You are required to calculate-

(a) Material yield variance;
(b) Material mix variance;
(c) Material usage variance;
(d) Material price variance and
(e) Material cost variance.

Solution : ৩৩৪ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.-2017 No-05; 2022 No-09**

From the following direct labour specification of Piyal Limited you are required to calculate labour variances
Standard direct labour hours 20
Standard direct labour rate Tk. 2.50.
During a period 250 units were produced and direct labour amounted to Tk. 15,000 for 5,600 hours.

Solution : ৩৩৯ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc.-2018 No-17**

A manufacturing company produces plastic toys and standard costing system is in operation. The following data is available for December, 2017 :

(i) Standard cost of production (per toy)

Direct materials 0.25 meter @ Tk. 2	= 0.50
Direct wages 0.20 hours @ Tk. 1.70	= 0.34
Production overhead	= 0.80
Total production cost	1.64

(ii) Budgeted production : 17,500 toys.
(iii) All production overhead is fixed.
(iv) Actual data for the period is as follows :
  (a) Production : 15,000 toys
  (b) Direct materials used : 3,900 meters @ Tk. 1.80 per meter.
  (c) Direct wages paid : 2,850 hours @ Tk. 1.90 per hour.
  (d) Production overhead incurred Tk. 14,740.

Calculate material and labour variances.

Solution : ৩৪২ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No-17**

The budgetd prime cost of a product was as follows :

Account titles	Taka
Raw materials :	
Cotton 5 kgs @ Tk. 4.20	21.00
Jute 3 kgs @ Tk. 0.80	2.40
Labour 8 hours @ Tk. 1.50	12.00
	35.40
The actual cost of the product was as follows :	
Cotton 5 kgs @ Tk. 3.60	18.00
Jute 5 kgs @ Tk. 0.70	3.50
Labour 9 hours @ Tk. 1.40	12.60
	34.10

100 units of product were manufactured during the month. Calculate the variances.

Solution : ৩৪৩ পৃষ্ঠার **Problem-26** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

ⓍⓍ **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2024 No–17**

The budgeted prime cost of a product was as follows :

Account titles	Taka
Raw materials	
Cotton 5 kg @ Tk. 4.00	20.00
Jute 3 kg @ Tk. 1.00	3.00
Labour 8 hours @ Tk. 1.30	10.40
	33.40
The actual cost of the product was as follows :	
Cotton 5 kg @ Tk. 3.50	17.50
Jute 4 kg @ Tk. 0.70	2.80
Labour 9 hours @ Tk. 1.10	9.90
	30.20

120 units of product were manufactured during the month, calculate the variances.

Solution : ৬৩৪ পৃষ্ঠার **Question No-17** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–17(b)**

In a six-day week, the normal working hours are 48. From the following information given below, calculate fixed overhead variances :

Standard production per hour	2 units
Actual production	120 units
Budgeted fixed overhead	Tk. 360
Actual fixed overhead	Tk. 320

There were five working days in the week and ten hours were spent for overtime work.

Solution : ৩৪৪ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

গ্রন্থ সহায়ক : উপরিউক্ত সাজেশন্সের পূর্ণাঙ্গ উত্তরপত্র পেতে.....
ব্যতিক্রমী ফিন্যান্স ব্যাংকিং সাজেশন্স (৩য় খণ্ড) বইটি সংগ্রহ করুন।

জাতীয় বিশ্ববিদ্যালয়ের প্রশ্নাবলি ও উত্তরপত্র

Management Accounting (In English); Subject Code : 232407

National University

[BBA Hons 3rd Year Exam-2019; (Held on -12/02/2020)]

(Department of Finance & Banking)

Course Code No : 232407

Course Name : Management Accounting

Time : 4 hours **Full marks :** 80

[N.B. Answer different questions of each group chronologically.]

Group-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) Define management accounting.

Ans. Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) Elaborate : ICMAB.

Ans. The elaboration of ICMAB is Institute of Cost and Management Accountants of Bangladesh.

(c) What is incremental cost?

Ans. An increase in cost between any two alternatives is called incremental cost.

(d) What is product cost?

Ans. All costs that are involved in the purchase or manufacture of goods. In case of manufactured goods these costs consist of direct materials, direct labour and manufacturing overhead. Also see inventor able costs.

(e) What is capital rationing?

Ans. Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(f) What is margin of safety?

Ans. The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

(g) What is shut down cost?

Ans. The goal of a firm is to maximize profit or minimize losses. The firm can achieve this goal by operate where MR = MC. The shut-down price is the price at which the company will begin to lose money for making the product.

(h) What is zero based budget?

Ans. Zero based budget is a technique of budgeting where in a manager is required to prepare the budget for his area of activities from scratch i.e. from zero.

(i) Is sunk cost relevant for decision making?

Ans. Sunk cost is not relevant for management decision making because, it is a historical cost and is not differential between alternatives.

(j) What is budget variance?

Ans. A measure of utilization of plant facilities. The variance arises whenever the standard hours allowed for the output of a period are different from the denomination activity level that was planned when the period began.

(k) What is relevant range?

Ans. The relevant is the range of activity within which the assumption about variable and fixed cost behavior are effective valid.

(l) What is the main advantage of standard costing?

Ans. The main advantage of standard costing is to turn out disadvantage of historical costing.

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Write down the differences between cost accounting and management accounting.
[Ans : ফিন্যান্স ব্যাংকিং ইন্সুরেন্স (৩য় খণ্ড) বইয়ের Page No. 9; Ques. No. 1.15]

3. Briefly discuss the planning and control for product life cycle. ***[Ans : Page No 14 ; Ques. No 1.30]***

4. The following information is obtained from the cost records of Pioneer Company : Total manufacturing cost Tk. 2,50,000, finished goods inventory (ending) Tk. 42,000, cost of finished goods Tk. 2,30,000 and work-in-process, ending Tk. 20,000.
Factory overhead is applied 30% of total manufacturing cost and direct labor cost 15% of factory overhead, administrative and selling total expenses amounted to Tk. 40,000. Total sales during the period was Tk. 2,60,000.
Prepare a cost sheet from the above information. **Solution** ***Page No- 49; Problem No-24.***

5. From the following information's compute —
(i) Break-even point
(ii) Variable cost
Total sales = Tk. 5,00,000
C/M or P/V ratio = 40%
M/S ratio = 25% **Solution** ***Page No- 136; Problem No-10.***

6. Turjo Company Ltd. is a manufacturing concern which requires, 2,000 units of Part-B to complete its finished products. Turjo Company produces Part-B in its own factory. Relevant cost data are given below :

Details	Per Unit (Tk.)	2,000 Units (Tk.)
Raw materials	20	40,000
Direct labor	80	1,60,000
Variable overhead	50	1,00,000
Fixed overhead	50	1,00,000
Total cost	200	4,00,000

A supplier offers to sell Part-B to Turjo Ltd. at a cost of Tk. 160 per unit. If the offer is accepted, fixed overhead @ Tk. 35 per unit can be saved.
Should the offer be accepted? **Solution** ***Page No- 185; Problem No-10.***

7. BSP chemical company is considering a project which requires an investment of Tk, 40,000. The estimated salvage value is zero. Tax rate 40%, cost of capital 10%. The company uses straight line depreciation and the proposed project cash flows before tax (CFBT) as follows :

At the end of year	1	2	3	4	5
CFBT	Tk. 10,000	10,000	15,000	15,000	25,000

Determine Average Rate of Return (ARR).
Solution ***Page No- 241; Problem No-32.***

8. Dunlop made 40,000 basket-balls in a given year. Its manufacturing cost were Tk. 2,88,000 variable and Tk. 95,000 fixed. Assume that no price changes will occur in the following year and that no changes in production methods and applicable.
Compute the budgeted cost for producing 44,000 basket-balls in the following year.
Solution ***Page No- 218; Problem No-06.***

9. Assume that the capacity of a factory is 50,000 units. What should be the most profitable level of output? Cosider following information :

Particulars	Up to 25,000 units	Up to 40,000 units	Up to 50,000 units
	Taka	Taka	Taka
Fixed cost	25,000	35,000	40,000
Variable cost per unit	2.00	2.00	1.90
Selling price per unit	4.00	3.50	3.20

Solution ***Page No- 50; Problem No-27.***

Group-C

[Answer any **five** questions.] 5 × 10 = 50

10. (a) Is management accounting a profession? Discuss. ***[Ans : Page No. 15 Ques. No. 1.32]***

    (b) Write down the objectives of preparing cost-sheet. ***[Ans : Page No 19 ; Ques. No 2.07]***

11. A manufacturing company produces bicycles. The company had 260 units of opening inventory costing Tk. 700 per unit in 2018. During the year 2018 the company sold 2,150 bicycles at a gross: profit of 25% on sale. Cost of material per unit was Tk. 420. Direct labor cost per bicycle was 40 hours at Tk. 4 per hour. Factory overhead was charged at Tk. 5 per direct labor hour. Administrative and selling expenses amounted to Tk. 1,20,000. The finished inventory at close was 110 units.

    Prepare :

    (a) Statement of cost of goods sold.

    (b) Income statement.

    Solution ***Page No- 58; Problem No-35.***

12. ACI Ltd. has the following data for the first two years storing in 2017. Basic production data at standard cost are as follows :

Account Titles	Taka
Direct materials	13.00
Direct labor	15.00
Variable overhead	2.00
Fixed overhead (Tk. 15,00,000 ÷ 1,50,000 units)	10.00
Total standard factory cost per unit	40.00

Selling price per unit Tk. 50.

Fixed selling and administrative expenses Tk. 6,50,000. Sales commission 5% of sales value. Output, sales and inventory (in units):

	2017	2018
Beginning inventory		30,000
Production	1,70,000	1,40,000
Sales	1,40,000	1,60,000
Ending inventory	30,000	10,000

Required :

(a) An income statement for two years under variable costing.

(b) An income statement for two years under absorption costing.

(c) A reconciliation statement for two years.

Solution ***Page No- 119; Problem No-39.***

13. Consider two businesses with the following unit price and fixed and variable cost:

	Business-A	Business-B
	Taka	Taka
Selling price per unit	10.00	10.00
Variable cost per unit	2.00	6.00
Fixed cost per year	50,000	25,000

Required :

(a) Calculate the profits of each business if sales in units are 20% above the break-even point.

(b) Which business would fare better if sales dropped to 5,000 units? Why?

(c) Which business would fare better if the market collapsed and the price per unit fell to Tk. 5? Why?

Solution ***Page No- 164; Problem No-47.***

14. (a) Discuss the essentials of a good budgetary control. *[Ans : Page No 203 ; Ques. No 6.25]*

(b) Among manufactures 4,000 units of a product during a year, the cost of the product is as follows :

Direct materials Tk. 1,72,000, direct labor Tk. 1,00,000, overheads Tk. 90,000. 60% of productive overheads is fixed. Administrative and selling expenses are Tk. 52,000 and 40,000 respectively. Administrative expenses are entirely fixed but 30% of the selling expense are variable. A foreign customer has given a proposal to buy 1,000 units. The company sells the product at Tk. 126 but the foreign buyer offers Tk. 100 as the price of the product. No additional cost would be incurred for the increased sells except Tk. 4,000 as delivery charges.

Should the offer of the foreign customer be accepted?

Solution *Page No- 189; Problem No-15.*

15. ABC Ltd. produces and sales two types of products named 'K' and 'M'. In 2017, the sales of the products were as follows :

Regions	Product A	Product B
East	20,000 units	30,000 units
West	25,000 units	35,000 units

The standard selling price of product 'K' and 'M' are Tk. 5 and Tk. 8 respectively. The following points are to be considered in preparation of sales budget in 2018.

(a) The selling price of 'K' should be reduced by 20% to increase the volume of sales by 30%.

(b) Due to scarcity of raw materials of product 'M', 20% of the plant in which 'M' is produced will remain idle for which selling price of 'M' should be increased by 25%.

Prepare a sales budget for 2018.

Solution *Page No- 216; Problem No-02.*

16. A factory is currently running at 50% capacity and produces 10,000 units at a cost of Tk. 180 per unit as per details below :

Material Tk. 100, wages Tk. 30, factory overhead Tk. 30 (40% fixed), administration overheads Tk. 20 (50% fixed). The current selling price is Tk. 200 per unit.

At 60% capacity working, material cost per unit increased by 2% and selling price per unit falls by 2%. At 80% capacity working material cost per unit increased by 5% and selling price per unit falls by 5%.

Prepare a marginal cost statement showing the total cost and profit for the three capacity levels. Also give your comments on the profitability at these levels of performance.

Solution *Page No- 293; Problem No-15.*

17. (a) Discuss the objectives of standard costing. *[Ans : Page No 311 ; Ques. No 8.18]*

(b) In a six-day week, the normal working hours are 48. From the following information given below, calculate fixed overhead variances : **Solution** *Page No- 344; Problem No-27.*

Standard production per hour	2 units
Actual production	120 units
Budgeted fixed overhead	Tk. 360
Actual fixed overhead	Tk. 320

There were five working days in the week and ten hours were spent for overtime work.

National University

[BBA (Hon's) 3rd Year Exam-2020 (Held on-16/03/2022)]

(Department of Finance & Banking)

Subject : Management Accounting (In English)

Subject Code : 232407

Time : 4 hours **Full marks :** 80

[**N.B.** Answer different parts of a questions sequentially.]

Group-A

1 Answer any **ten** questions. $1 \times 10 = 10$

(a) What do you mean by product life-cycle?

Ans. The product life cycle is defined as the period that start with the initial product design and ends with the withdrawl of the product from the market place.

(b) What is periodic cost?

Ans. All costs that are matched against revenue on a time period basis; such cost consist of selling (marketing) and administrative expenses.

(c) What is segment margin?

Ans. The amount remaining from the sales of a segment often the segment has covered all of its own cost,, variable and fixed is called segmet margin.

(d) What do you mean by break-even chart?

Ans. The relationship between revenue, cost and level of activity in an organization presented in graphic form and determine BEP from it, is called breack-even chart.

(e) What is strategic budget?

Ans. The budget adjusted for strategic planning is called strategic budget.

(f) What do you mean by just-in-time?

Ans. JIT is production and inventory control system in which materials are purchased and units are produced only as needed to customer demand.

(g) What is payback period?

Ans. The payback period is the length of time that it takes for a project to recover its initial cost from the net cash inflows that it generates.

(h) What is opportunity cost?

Ans. The potential benefit that is lost or sacrificed when the selection of one course of action makes it necessary to give up a competing course of action is called opportunity cost.

(i) What is material price variance?

Ans. It refers to that portion of material cost variance which is due to the different between the standard prices specified and the actual price for direct materials used.

(j) What is relevant cash flow?

Ans. The relevant cash flows is future incremental cash flow arising from the decision being made. This means that the cash flows are only relevant if they are future, incremental costs.

(k) Give two examples of semi-variable cost.

Ans. Telephone expenses (Fixed or land phone), Light and Electricity expenses.

(l) What is standard costing?

Ans. Standard costing is technique of costing which uses standards for cost and revenue for the purpose of control through variance analysis.

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Why ethics is important in management accounting? Explain.

[Ans : [redacted] (৩য় খণ্ড) বইয়ের Page No. 6 Ques. No. 1.07]

3. Show the difference between product cost and period cost. ***[Ans : Page No 21 ; Ques. No 2.17]***

4. "All future costs are relevant"—Do you agree? ***[Ans : Page No 27 ; Ques. No 2.35]***

5. Lamiya Manufacturing Company has the following forecast data available :

Particulars	September	October
	Taka	Taka
Cash sales	40,000	60,000
Sales on credit	77,500	95,000
Cash purchases	20,000	20,000
Purchases on credit	1,00,000	80,000
Purchases discounts	6,000	3,000
Accounts payable beginning	10,000	12,000
Accounts payable ending	12,000	9,000
Cash operating expenses	46,500	10,000

Net sale on credit are collected 50% in the month of sale, 40% in the month following and 10% in the second following months. Such sales in July and August were Tk. 1,00,000 and Tk. 1,20,000 respectively. The estimated September 1, 2021 cash balance is Tk. 13,000.

Prepare a cash budget for September and October.

Solution *Page No- 228; Problem No-22.*

6. The following are the particulars regarding the standard and the actual production of the product 'P' :-

Standard quantity of material per unit	5 kg
Standard price	Tk. 5 per kg
Actual number of units produced	400
Actual quantity of materials used	2,200 kg
Price of material	Tk. 4.80 per kg

Required : Calculate all material variances and check.

Solution *Page No- 319; Problem No-03.*

7. A project initial cost is Tk. 80,000. Its expected life is 5 years and discount rate is 10%. Cash inflows are given below :

Year	Amount (Taka)
1	24,000
2	30,000
3	26,000
4	20,000
5	28,000

You are required to calculate discounted payback period.

Solution *Page No- 244; Problem No-37.*

8. What are the difference between standard costing and budgetary control? *[Ans : Page No 308 ; Ques. No 8.07]*

9. Sonali Company Ltd. Manufactures bicycle for the use on city street:

Beginning inventory	00
Units produced	10,000
Units sold	8,000
Selling price per unit	Tk. 500
Manufacturing cost:	
Direct material cost per unit	Tk. 120
Direct labour cost per unit	Tk. 140
Variable manufacturing overhead per unit	Tk. 50
Fixed manufacturing overhead	Tk. 6,00,000

Required : Determine the unit product cost under absorption costing.

Solution *Page No- 79; Problem No-03.*

Group-C

[Answer any five questions.] $5 \times 10 = 50$

10. Discuss the role of management accounting in the decision-making process in a business organization.

[Ans : Page No. 12 Ques. No. 1.24]

11. Discuss the advantages of standard cost. Point out the potential problems with the use of standard cost.

[Ans : Page No 312 ; Ques. No 8.21]

12. A Company wants to invest in a project the initial outlay of which is Tk. 27,000. The relevant cashflows of the project is given below :

Year	Cash flow
1	11,000
2	10,000
3	9,000
4	8,000

The firms cost of capital is 14%. Calculate :

(i) Net present value (NPV)

(ii) Internal rate of return (IRR). **Solution** *Page No- 262; Problem No-56.*

13. The Surma Company produce different types of leathers goods. The sales revenue for the year Tk. 12,00,000. The cost related different informations during the year were as follows:

Particulars	Taka
Raw material purchased	50,000
Freight in	2,000
Opening work-in-process	80,000
Opening finished goods	40,000
Opening raw materials	2,50,000
Closing work-in-process	70,000
Closing finished goods	60,000
Closing raw materials	60,000
Productive wages	1,70,000
Changeable expenses	50,000
Factory overhead	2,50,000
Selling expenses	40,000
Sale of scrap	5,000

Prepare a statement showing the following :

(i) Raw materials used

(ii) Prime cost

(iii) Cost of manufacturing

(iv) Cost of goods manufacturing

(v) Cost of goods available for use

(vi) Cost of goods sold

(vii) Cost of sales

(viii) Profit or loss. **Solution** *Page No- 41; Problem No-17.*

14. The following particulars have been extracted from the books of Sunflower Company as on 31st December 2019 :

Accounts titles	Taka
Purchase of raw materials	1,32,000
Direct wages	1,05,000
Stock of raw materials (1-1 -2019)	1,50,000
Stock of raw materials (31-12-2019)	1,83,000
Stock of work-in-process (1-1-2019)	56,000
Stock of work-in-process (31-12-2019)	70,000
Stock of finished goods (1-1-2019)	1,08,000
Stock of finished goods (31-12-2019)	62,000

Sales	4,22,000
Factory rent and power	30,000
Indirect wages	5,500
Depreciation of plant and machinery	7,000
Direct expenses	3,000
Sundry factory expenses	20,000
Salesman salaries and commission	13,000
Office rent	5,000
Sundry office expenses	13,000
Advertisement expenses	7,000
Carriage outward	5,000

You are required to prepare cost of goods sold showing :

(i) Material consumed

(ii) Prime cost

(iii) Factory cost

(iv) Total cost

(v) Net profit or loss.

Solution ***Page No- 42; Problem No-18.***

15. The following particulars are available from the books of a company for the year ended December 2019 :

Sales: 1,50,000 kilograms

Finished goods inventory (1-1-2019): 24,000 kg

Finished goods inventory (31-12-2019): 34,000 kg

Sales price Tk. 20 per unit.

Manufacturing cost:

Variable cost per kg of production : Tk. 8

Fixed factory overhead : Tk. 1,60,000 (Normal capacity 1,60,000 kg)

Marketing and administrative expenses :

Variable cost per kg of sales @ Tk. 1

Fixed marketing and administrative expenses Tk. 3,00,000

Standard costing system is used.

Required :

(i) Income statement for the year 2019 under the absorption costing method and variable costing method.

(ii) A statement showing the difference in net operating income under the two methods.

Solution ***Page No- 112; Problem No-34.***

16. The Rose Company has just been incorporated and plans to produce a product which will sell for Tk. 10 per unit. Preliminary market surveys show that demand will be less than 10,000 units per year, but it is not as yet clear how much less.

The company has the choice of buying one of two machines, each of which has a capacity of producing 10,000 units per year. Machine -A would have a fixed costs of Tk. 30,000 per year and would yield a profit of Tk. 30,000 per year if sales were 10,000 units.

Machine-B has a fixed cost of Tk. 16,000 per year and would yield a profit of Tk. 24,000 per year at sales of 10,000 units. Variable costs behave linearly for both machines.

Required :

(I) Break-even sales for each machine.

(ii) The sales level where both machine equally profitable.

(iii) The range of sales where one machine is more profitable.

Solution ***Page No- 166; Problem No-49.***

17. (a) Distinguish between flexible budgets and master budgets. ***[Ans : Page No 278 ; Ques. No 7.18]***

(b) M Company Limited has been operating at 60% capacity (12,000 units). The following details are obtained from the records of the company for the year 2019 :

	Taka
Direct materials	1,20,000
Direct labour	60,000
Direct expenses	36,000
Works overhead (60% variable)	20,000
Administrative overhead (fixed)	44,000
Selling and distribution overhead (40% variable)	30,000
Sales	3,60,000

To boost up sales above 75% level of activity, a reduction of 5% in the selling price is contemplated. On the basis of above information, you are required to make a flexible budget for the company at 50%, 75% and 100% capacity level. **Solution** ***Page No- 287; Problem No-10.***

National University

[BBA (Hon's) 3rd Year Exam-2021 (Held on-04/06/2023)]

(Department of Finance & Banking)

Course Title : Management Accounting (in English)

Course Code : 232407

Time : 4 Hours **Full Marks :** 80

[**N.B.** Answer different parts of a questions sequentially.]

Part-A

1. Answer any **ten** questions. Marks 1 × 10 = 10

(a) What is management accounting?

Ans. Management accounting is the process of identification measurement, accumulation, analysis, preparation, interpretation and communication of information that assists executives in fulfilling organizational objectives.

(b) What is value chain?

Ans. Value chain is the set of business functions that add value to the products of services of an organization.

(c) What is prime cost?

Ans. Prime cost is the combined form of direct materials, direct labour and direct expenses.

(d) What is absorption costing?

Ans. A costing method that includes all manufacturing cost direct materials, direct labour and both variable and fixed manufacturing overhead in the cost of a unit of product. Absorption costing is also referred to as the full cost method.

(e) What is CVP analysis?

Ans. CVP analysis defined as an analysis of the effect of value changes upon costs and upon profits.

(f) What is sunk cost?

Ans. Sunk cost is the cost that has already been incurred and that cannot be changed by any decision made now or in the future.

(g) What is cost of capital?

Ans. The appropriate interest rate is the cost of the finance provided to the company by shareholders and other investors, as investment projects have to earn a return at least sufficient to pay the interest on the funds they utilize.

(h) What is static budget?

Ans. A budget which is designed to remain unchanged irrespective of the level of activity actual attained is called static/fixed budget.

(i) **What is c/m ratio?**

Ans. The contribution margin per unit expressed as a percentage of selling price per unit. This term is synonymous with profit-volume ratio.

(j) **What is safety margin?**

Ans. The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

(k) **What is relevant cost?**

Ans. Relevant cost are those expected future cost that differ among alternative course of action.

(l) **What is master budget?**

Ans. The master budget is a set of interrelated budget, that constitute a plan of action for a specified time period.

Part-B

[Answer any five questions.] Marks 4 × 5 = 20

2. State the limitations of management accounting?
[Ans : [illegible] (৩য় খণ্ড) বইয়ের Page No. 6 Ques. No. 1.06]
3. What are the differences between direct cost and indirect cost? ***[Ans : Page No 18 ; Ques. No 2.06]***
4. Distinguish between variable cost and absorption cost. ***[Ans : Page No 75 ; Ques. No 3.14]***
5. Meghna Ltd. produced 25,000 units of product during the year 2021, 20,000 units were sold @ Tk. 250 per unit. Cost of this product was :

Materials	Tk. 7,00,000
Direct labor	Tk. 5,00,000
Factory overheads :	
Fixed –	Tk. 1,50,000
Variable –	Tk. 1,25,000

Marketing and administrative expenses for the year total 1,00,000, all are fixed. You are required production cost per unit using variable costing method. **Solution** ***Page No- 78; Problem No-01.***

6. Total sales of a production Co. is Tk. 2,00,000, margin of safety is Tk. 80,000, C/M ratio 40%.
Determine –
(i) Profit of the com.
(ii) Total variable cost. **Solution** ***Page No- 136; Problem No-11.***
7. From the relevant information prepare a cost sheet:

Direct materials	Tk. 1,50,000
Direct labour	70% of materials
Factory on cost	40% of labour
Office on cost	70% of factory on cost
Selling on cost	40% of office on cost
Profit	20% of sales

Solution ***Page No- 32; Problem No-05.***

8. The following data are related to Adams Company Ltd.

	Ending	Beginning
Finished goods	Tk. 95,000	Tk. 1,10,000
Work-in-process	60,000	50,000
Direct materials	85,000	80,000
Cost incurred during the period:		
Cost of goods available for sales		Tk. 6,84,000
Total manufacturing cost		5,84,000
Factory overhead		1,67,000
Direct material used		1,90,000

Required :
(i) Direct labor cost.
(ii) Direct materials purchased during the period. **Solution** ***Page No- 34; Problem No-08.***

9. Sales proceeds of a Co. are collected as follows:
40% in the month of sales, 40% in the second month of sales and 20% in the third month of sales. Sales for the month of June Tk. 2,40,000, Accounts receivable are Tk. 1,20,000 in May 31, 2020. Consisting of Tk. 30,000 from April sales Tk. 90,000 from May sales.
Show the schedule of cash collection from sales for the month of June-2020.
Solution ***Page No- 223; Problem No-16.***

Part-C

[Answer any **five** questions.] Marks 5 × 10 = 50

10. "Budgetary control is a tool of technique of management"–Explain. ***[Ans : Page No. 200 Ques. No. 6.16]***
11. Differentiate between cost accounting and management accounting. ***[Ans : Page No 9 ; Ques. No 1.15]***
12. Following data have been taken from ACI Limited :

Selling expenses	Tk. 1,50,000
Raw materials inventory–opening	90,000
Raw materials inventory–closing	60,000
Utilities-factory	36,000
Direct labour cost	1,50,000
Depreciation–factory	1,62,000
Purchase of raw materials	7,50,000
Sales	25,00,000
Insurance–factory	40,000
Supplies–factory	15,000
Administrative expenses	2,60,000
Indirect labour	87,000
Maintenance factory	3,00,000
Work-in-process inventory–opening	1,80,000
Work-in-process inventory–closing	1,00,000
Finished goods inventory–opening	2,60,000
Finished goods inventory closing	2,10,000

Required:
(i) Prepare a statement of cost of goods sold.
(ii) Prepare an income statement.
Solution ***Page No- 54; Problem No-32.***

13. XYZ Company Ltd. collected the following data for the second quarter of the year :

Months	Sales	Costs
April	Tk. 70,000	Tk. 56,000
May	70,000	59,990
June	85,000	64,550

Required :
(i) Variable cost per unit in taka;
(ii) The fixed cost;
(iii) The break-even point on taka;
(iv) July profit if sales Tk. 80,000.
Solution ***Page No- 149; Problem No-31.***

14. (a) What are the uses of differential cost statement? ***[Ans : Page No 176 ; Ques. No 5.05]***

(b) Rahman Ltd. has the capacity of producing 20,000 units per month. At the moment, they are producing and selling 12,000 units per month at Tk. 20 per unit. Cost per unit are as follow :

Direct materials	Tk. 8
Direct labour	4
Variable factory overhead	2
Fixed factory overhead	1
Fixed administrative expense	1
Variable selling expense	1

Recommend whether or not the company should accept a special order for 8,000 units at Tk. 17 per unit.

Solution ***Page No- 183; Problem No-05.***

15. MM Ltd. is considering investing in a project that requires Tk. 2,00,000 cash outlay. Depreciation on Straight Line basis towards zero salvage value. Corporate tax rate 25% and cost of capital 12%. Estimated gross cash flows (CFBT) are as follows :

Year	1	2	3	4	5
CFBT	80,000	1,00,000	1,40,000	90,000	60,000

Is the project acceptable considering the IRR.

Solution ***Page No- 263; Problem No-57.***

16. The expenses budget for 10,000 units of a product in a factory is as follows :

Particulars	Per unit cost (Tk.)
Raw materials	100
Labour	30
Variable overhead	30
Fixed overhead (Tk. 1,00,000)	20
Variable expense (direct)	10
Selling expenses (10% fixed)	25
Distribution expenses (20% fixed)	15
Administrative expenses (Tk. 60,000)	10

Prepare a flexible budget for the production of 8,000 units and 5,000 units.

Solution ***Page No- 282; Problem No-04.***

17. The standard mix for producing 8,000 bottles of product kinly is :

Material X : 1,000 kg @ Tk. 3

Material Y : 2,000 kg @ Tk. 3.5.

During April, 10,000 bottles of product X were produced from an input of :

Material X : 1,500 kg @ Tk. 3

Material Y : 3,300 kg @ Tk. 3.80

Required :

(i) Material cost variance.

(ii) Material price variance.

(iii) Material usages variance.

(iv) Material mix variance.

(v) Material yield variance.

Solution ***Page No- 328; Problem No-13.***

National University

[BBA (Hon's) 3rd Year; Exam-2022 (Held-06/05/2024)]

(Department of Finance & Banking)

Subject Code : 232407

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Answer different questions of each group chronologically.]

Group-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) What is meant by cost-benefit balance?

Ans : Cost-benefit balance is weighing estimated cost against probable benefits, the primary consideration in choosing among accounting system and methods.

(b) What is sunk cost?

Ans : A cost that has already been incurred and thus cannot be recovered is called sunk cost.

(c) What is contribution margin?

Ans : The amount remaining from sales revenues after all variable costs have been deducted is called, contribution margin.

(d) What is ABC costing?

Ans : Activity based-costing refers a costing system by identifying individual activities as the fundamental cost objects.

(e) What is semi-variable cost?

Ans : Semi-variable cost is the mixture of variable cost and fixed cost.

(f) What is Break-Even Point?

Ans : The level of activity at which an organization neither earns a profit nor incurs a loss. The break even point can also be defined as the point where total revenue equals total cost and as the point where contribution margin total equals total fixed costs.

(g) What is budgeting cycle?

Ans : All the activities of budgetary control system are to be done in circulating nature. This circulating nature of budgeting is called budgeting cycle.

(h) What is capital rationing?

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(i) What is marginal cost?

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

(j) What is flexible budget?

Ans : A budget which is designed to changed in accordance with the level of activity actually attained is called flexible budget.

(k) What is budgetary control?

Ans : The exercise of control in the organization with the help of budgets is known as budgetary control.

(l) What is standard costing?

Ans : Standard costing is technique of costing which uses standards for cost and revenue for the purpose of control through variance analysis.

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Classify the types of cost?

[Ans : [illegible] (৩য় খণ্ড) বইয়ের Page No. 28 Ques. No. 2.25]

3. Ony Ltd. provided you the following data :

Total sales volume	20,000 units
Variable cost per unit	Tk 15
Total fixed cost	Tk. 80,000
Selling price	Tk. 35 per unit

Determine : (i) BEP units (ii) Margin of safety (iii) C/M ratio (iv) M/S ratio.

Solution ***Page No- 139; Problem No-18.***

4. Meghna Ltd. supplies you the following data for the month of June 2023 :

Beginning inventory	Nill
Sales (Units)	6,000
Production (Units)	9,000
Selling price (Per unit)	Tk. 25
Direct manufacturing expenses (Per unit)	Tk. 14
Fixed factory overhead (per unit)	Tk. 4
Fixed factory overhead (Total)	Tk. 30,000
Commercial expenses (Fixed)	Tk. 12,000

Required :

(i) Prepare an income statement applying direct costing and absorption costing.

(ii) Prepare a reconciliation statement.

Solution *Page No- 105; Problem No-29.*

5. You have been supplied with the following information :

Net sales	Tk. 6,00,000
Variable cost	Tk. 3,00,000
Fixed costs	Tk. 1,80,000

Required :

(i) Break even sales in taka

(ii) Margin of safety ratio

(iii) Contribution margin ratio

(iv) Present net profit in taka.

Solution *Page No- 145; Problem No-26.*

6. Tamanna Chemical Ltd. turns out as single product. The highest capacity of company is 6,00,000 kgs. Presently the company produces 4,00,000 kgs. It has received a foreign offer for 80,000 kgs @ Tk. 13 per kg. The company sells Tk. 17 per kg. The standard cost sheet per kg are given below :

Direct materials	Tk. 6.00
Direct labor	Tk. 3.50
Variable overhead	Tk. 3.25
Fixed overhead	Tk. 1.75
Total	Tk.14.50

Should the company accept the offer?

Solution *Page No- 186; Problem No-11.*

7. What are the differences between budget and budgetary control? *[Ans : Page No 199 ; Ques. No 6.13]*

8. Galib Company's sales budget for the third quarter of 2014 is given below :

	July	August	September	Total
Budgeted sales	3,50,000	4,50,000	2,50,000	10,50,000

20% of a months sales are collected in the month of sales 70% is collected in the month following sales and remaining 10% is collected in the second month following sales.

May sales totaled Tk. 2,15,000 and June sales totaled Tk. 2,70,000.

Required : Show the scheduled of cash collection from sales by month and in total the third quarter.

Solution *Page No- 224; Problem No-17.*

9. The following are the particulars regarding the standard and the actual production of the product X :
Standard quantity of material per unit 5 kg.
Standard price Tk. 5 per kg
Actual number of units produced 400
Actual quantity of materials used 2,200 kg.
Price of material Tk. 4.80 per kg.
Required : Calculate the material variances.
Solution ***Page No- 319; Problem No-03.***

Group-C

[Answer any **five** questions.] $10 \times 5 = 50$

10. (a) What are the techniques of management accounting? ***[Ans : Page No. 7 Ques. No. 1.10]***
(b) Distinguish between financial accounting and management accounting. ***[Ans : Page No 8 ; Ques. No 1.13]***

11. Suchanda Manufacturing Ltd. incurred the following costs during March 2023 :

Raw materials purchased	Tk. 23,400
Direct labor (9,200 hours)	Tk. 78,200
Manufacturing overhead (actual)	Tk. 41,500
Selling expenses	Tk. 23,700
Administrative expenses	Tk. 16,300
Interest expenses	Tk. 7,400

Manufacturing overhead is applied on the basis of Tk. 4.25 per direct labor hour. Assume that over applied or under applied overhead is transferred to cost of goods sold only at the end of the year. During the month 3,500 units of product were manufactured and 3,400 units of product sold. On March 01 and 31, Suchanda Manufacturing Ltd. carried the following inventory balances :

	March 01	March 31
Raw materials	Tk. 14,200	Tk. 15,400
Work-in-process	Tk. 64,700	Tk. 55,800
Finished goods	Tk. 32,400	Tk. 36,640

Required :
(i) Statement of cost of goods manufactured for the month of March and calculate the average cost per unit of product manufactured.
(ii) Calculate the cost of goods sold during March, 2023.
Solution ***Page No- 40; Problem No-16.***

12. The Rose Company Ltd. sells it's razor at Tk. 3 per unit. The company uses FIFO actual costing system. A new manufacturing overhead allocation rate is computed each year by dividing the actual fixed manufacturing overhead cost by the actual production units. The following simplified data are related to it's first two years operation :

Particulars	Year-1	Year-2
Sales	1,000 Units	1,200 Units
Production	1,400 Units	1,000 Units
Cost :		
Variable-manufacturing	Tk. 700	Tk. 500
Fixed-manufacturing	Tk. 700	Tk. 700
Variable-marketing and administrative	Tk. 1,000	Tk. 1,200
Fixed marketing and administrative	Tk. 400	Tk. 400

Required :
(i) Prepare income statement for each of the years under variable costing and under absorption costing.
(ii) Prepare a reconciliation statement.
Solution ***Page No- 118; Problem No-38.***

13. A company plans to produce 5,00,000 units at a variable cost of Tk. 20 each. The fixed costs are expected to be Tk. 20,00,000. The sellihg price is fixed to give 25% profit on cost. You are required to calculate :
    (i) P/V ratio;
    (ii) Break even point,
    (iii) P/V ratio and break even point if the selling price is increased by 20%;
    (iv) The number of units required to be sold at the reduced selling price to obtain an increase of 20% over the budgeted profit.

    Solution *Page No- 156; Problem No-40.*

14. From the following information supplied by ABC Ltd. prepare a cash budget for the period from Ist October, 2023 to 31 December, 2023 :

Months	Credit purchase	Credit sales	Wages and other expenses
August	Tk. 92,000	Tk. 1,85,000	Tk. 58,000
September	1,00,000	2,10,000	65,000
October	1,20,000	2,45,000	75,000
November	90,000	1,75,000	54,000
December	98,000	1;82,000	56,000

Additional information :
(i) Expected cash balance on 1st October Tk. 10,500.
(ii) Period of credit allowed to debtors–2 months.
(iii) Period of credit allowed to creditors–1 month.
(iv) Lag in payment of wages and other expenses–1 month.
(v) Selling commission @ 2% on sales is payable one month after sales.
(vi) Expenditure on machinery worth Tk. 50,000 is payable in October.

Solution *Page No- 230; Problem No-24.*

15. Hasan Chemical Company is considering a project which requires an investment of Tk. 8,00,000. The estimated salvage value is zero, Tax rate is 50% and cost of capital is 10%. The company uses straight line depreciation and the proposed cash flows before tax (CFBT) as follows :

Year	CFBT
1	Tk. 2,00,000
2	2,00,000
3	3,00,000
4	3,00,000
5	5,00,000

Determine the following :
(i) Payback period
(ii). Net present value
(iii) Internal rate of return. **Solution** *Page No- 265; Problem No-59.*

16. The monthly budgets for the manufacturing overhead of a business concern for two levels of activity are as follows :

Capacity	60%	100%
Budgeted production (Units)	600	1,000
Indirect wages	Tk, 12,000	Tk. 20,000
Materials	9,000	15,000
Maintenance	11,000	15,000
Power and fuel	16,000	20,000
Depreciation	40,000	40,000
Insurance	10,000	10,000

Required :
(i) Indicate which of the items are fixed, variable and semi-variable.
(ii) Prepare a flexible budget for 70%, 80% and 90% capacity. **Solution** *Page No- 298; Problem No-20.*

17. Asa Ltd. manufactures 4,000 units of a product during a year Costs of the product are as follows :

	Tk.
Direct materials	86,000
Direct labour	50,000
Overheads	45,000

60% of productive overheads are fixed. Administrative and selling expenses are Tk. 26,000 and Tk. 20,000 respectively. Administrative expenses are entirely fixed but 30% of selling expenses are variable. A foreign customer has given a proposal to the company to buy 1,000 units. The company sells the product at Tk. 63 but the foreign buyer offers Tk. 50 as the price of the product. No additional cost would be incurred for the increased sale except Tk. 2,000 as delivery charges. Should the offer of the foreign customer be accepted?

Solution *Page No- 190; Problem No-16.*

National University

[BBA (Hon's) 3rd Year; Exam-2023 (Held in-04/05/2025)]

(Department of Finance and Banking)

Subject Code : 232407

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Answer different questions of each group chronologically.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is JIT principle?

Ans : JIT is production and inventory control system in which materials are purchased and units are produced only as needed to customer demand.

(b) Define product cost.

Ans : All costs that are involved in the purchase or manufacture of goods are called product costs.

(c) What do you mean by margin of safety?

Ans : The excess of budgeted (or actual) sales over the break-even volume is margin of safety.

(d) What is capital rationing?

Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of given size of capital.

(e) What is zero based budget?

Ans : The budget which comes from zero is called budget zero based budget.

(f) What is the elaboration of ICAB?

Ans : The elaboration of ICAB is "Institute of chartered Accountants of Bangladesh."

(g) Which costing method is also known as "Full Costing"?

Ans : Absorption costing is also known as full costing.

(h) What is break even point?

Ans : The level of activity at which an organization neither earns a profit nor incurs a loss. The break even point can also be defined as the point where total revenue equals total cost and as the point where contribution margin total equals total fixed costs.

(i) What is imputed cost?

Ans : A cost that is incurred by virtue of using an asset instead of investing it or undertaking an alternative.

(j) What is fixed budget?

Ans : Fixed budget is a budget which is designed to remain unchanged irrespective of the level of activity actually attained.

(k) What is relevant cost?

Ans : Relevant cost are those expected future cost that differ among alternative course of action.

(l) What is normal standard?

Ans : Normal standard is the average standard which it is anticipated can be attained over a future period of time, long enough to cover one trade cycle.

Part-B

[Answer any **five** questions.] Marks : 4 × 5 = 20

2. Show the difference between cost and expense.
[Ans : বিবিএ ফিন্যান্স ব্যাংকিং ইন্সপেক্ট (৩য় খণ্ড) বইয়ের Page No. 19 Ques. No. 2.10]

3. Cost records of a manufacturing company is as follows

Accounts titles	Tk.
Total manufacturing cost	2,60,000
Finished goods inventory (closing)	52,000
Cost of finished goods	2,40,000
Work in process (closing)	20,000
Commercial expenses	30,000
Total sales	2,50,000

Factory overhead was applied at 30% of total manufacturing cost. Direct labor cost was 15% of factory overhead.
Required : Prepare a cost sheet. **Solution** ***Page No- 46; Problem No-21.***

4. Briefly explain the limitations of CVP analysis. ***[Ans : Page No 125 ; Ques. No 4.05]***

5. Panda Ltd. produced 2,00,000 units of a product and sold 90% of these goods. Production cost consisted of direct materials Tk. 8,00,000. Direct labor Tk. 7,00,000. Variable factory overhead Tk. 5,00,000 and Fixed factory overhead Tk. 4,00,000.
Required :
(a) Compute the cost of production per unit under variable costing and absorption costing.
(b) Compute the value of ending inventory under both method.
Solution ***Page No- 71; Problem No-07.***

6. Following information is about Global Ltd :
Selling price per unit is Tk. 20.
Variable expenses per unit is Tk. 12
Fixed expenses per annum is Tk. 4,80,000
Required : (a) Calculate contribution margin ratio. (b) Break-even point in amount.
Solution ***Page No- 135; Problem No-08.***

7. Nike made 50,000 basket-balls in a given year. Its manufacturing cost were Tk. 2,88,000 variable and Tk. 95,000 fixed. Assume that no price changes will occur in the following year and that no changes in production methods applicable.
Compete the budgeted cost for producing 55,000 basket balls in the following year.
Solution ***Page No- 218; Problem No-06.***

8. A budget is prepared for producing 1,000 units of product. The cost of 1,100 units of raw materials was fixed at Tk. 1,320 at the rate of Tk. 1.20 per unit. The actual cost of 1,120 units of raw materials at the rate of Tk. 1.25 per unit was Tk. 1,400.
Calculate : (i) Material usage variance. (ii) Material price variance.
Solution ***Page No- 319; Problem No-01.***

9. Assume that the capacity of a factory is 50,000 units. What should be the most profitable level of output? Cosider following information :

	Up to 25,000 units	Up to 40,000 units	Up to 50,000 units
Fixed cost	Tk. 25,000	Tk. 35,000	Tk. 40,000
Variable cost per unit	Tk. 2	Tk. 2	Tk. 1.90
Selling price per unit	Tk. 4	Tk. 3.50	Tk. 3.20

Solution ***Page No- 50; Problem No-27.***

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) Discuss the role of management accounting in decision making. ***[Ans : Page No. 12 Ques. No. 1.24]***

(b) State the limitations of management accounting. ***[Ans : Page No 6 ; Ques. No 1.06]***

11. The following data are collected from records of Delta Care Ltd. for May, 2018 :

Accounts titles	Taka
Sales	14,00,000
Purchases	2,40,000
Inbound transport	32,000
Direct labor	3,20,000
Sales salaries	2,00,000
Sales returns and allowances	25,200
Factory overhead	1,88,560
Advertising expenses	1,55,000
Delivery expenses	65,000
Stationery and printing expenses	10,000
Miscellaneous administrative expenses	30,000

Inventories	May 1, 2018	May 31, 2018
Finished goods	Tk. 4,67,400	Tk. 6,20,000
Work in process	1,36,800	1,29,800
Materials	1,96,000	1,76,000

Required : Prepare a cost of goods sold statement & an income statement.

Solution ***Page No- 53; Problem No-31.***

12. Crown Ltd. is considering a proposal to install a new machine. The project will cost Tk. 1,00,000 and have an estimated life of 5 years.

Estimated cash flow before tax (CFBT) of the project are as follows :

Year	1	2	3	4	5
CFBT	25,000	30,000	35,000	50,000	40,000

This company charges depreciation on straight line basis. Tax rate for the company is 50%.

Required :

(i) Calculate pay back period.

(ii) Calculate average rate of return.

(iii) Calculate net present value at 10% discount rate.

Solution ***Page No- 256; Problem No-51.***

13. From the following data prepare a cash budget for the 2nd quarter ended June 30, 2020 for Malala Ltd:

Month	Sales (Tk.)	Purchase (Tk.)	Wages (Tk.)
January	3,00,000	2,20,000	12,000
February	3,20,000	2,50,000	13,500
March	3,80,000	2,60,000	15,000
April	3,60,000	2,10,000	16,500
May	4,00,000	2,30,000	18,000
June	3,10,000	2,00,000	19,500

Other data :

(i) All sales are made on credit.

(ii) 40% of the credit sales are collected after 1 month and the balance after two months.

(iii) 80% of the purchases are paid after 2 months and the balance after 3 months.

(iv) Lag in payment of wages $\frac{1}{3}$rd month.

(v) Lag in payment of overhead is 1 month.

(vi) A plant is to be purchased in May for Tk. 25,000

(vii) Overhead paid per month Tk. 15,000.

(viii) Expected cash balance on 1st April, 2020 Tk. 30,000.

Solution *Page No- 231; Problem No-25.*

14. You are supplied with the following data of Akiz Cement for the year ended December 31, 2024 :

Opening inventory	1,000 units
Ending inventory	1,500 units
Production during the year	4,500 units
Normal plant capacity	5,000 units
Cost analysis :	
Selling price	Tk. 20
Direct materials (per unit)	Tk. 10
Direct labor (per unit)	Tk. 3
Variable factory overhead (per unit)	Tk. 2
Fixed factory overhead	Tk. 5,000
Administrative and selling overhead variable	Tk. 2,000
Administrative and selling overhead fixed	Tk. 5,000

Unfavorable variable manufacturing cost Tk. 500.

You are asked to prepare income statement under :

(i) Direct costing

(ii) Absorption costing

Also prepare a statement showing reconciliation of both profit.

Solution *Page No- 95; Problem No-23.*

15. The following data have been taken from the book of Beximco Company :

Annual sales	Tk. 2,50,000
M/S ratio	35%
P/V ratio	45%

Required :

(i) Break even sales in Tk.

(ii) M/S in Tk.

(iii) Annual profit

(iv) Sales required to earn profit of Tk. 70,000,

(v) Profit on sale of Tk. 1,60,000.

Solution *Page No- 141; Problem No-21.*

16. (a) Distinguish between budget and forecast. ***[Ans : Page No 199 ; Ques. No 6.14]***

(b) XYZ Company's sales budget for the third quarter of 2024 is given below :

	April	May	June
Budgeted sales	Tk. 2,50,000	Tk. 3,50,000	Tk. 1,80,000

10% of a monthly sales is collected in the month of sales, 60% is collected in the following month of sales and remaining is collected in the second month following sales. February sales totaled Tk. 1,75,000 and March sales totaled Tk. 2,00,000.

Required :

(i) Show the schedule of cash collection from sales by month.

(ii) Show the account receivable as on closing data.

Solution *Page No- 224; Problem No-18.*

17. The expenses budget for production of 10,000 units in a factory are given below :

Accounts titles	Unit cost (Tk.)
Raw materials	80
Labor	30
Variable overheads	20
Fixed overheads (Tk. 1,00,000)	10
Variable expenses (Direct)	5
Selling expenses (10% fixed)	14
Distribution expenses (20% fixed)	8
Administrative expenses (Tk. 50,000)	5
Total cost per unit	172

Prepare a flexible budget for the production of 6,000 units and 8,000 units.

Solution *Page No- 281; Problem No-03.*

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 07/01/2026)]

(Department of Finance and banking)

Subject Code : 232407

Subject Name : Management Accounting (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is the main objectives of management accounting?

Ans : The main objectives of management accounting is to enable the management to maximize profits.

(b) Is sunk cost relevant for decision making?

Ans : Sunk cost is not relevant for management decision-making because, it is a historical cost that does not differ between alternatives.

(c) Write down the full form of IRR.

Ans : The full form of IRR is Internal Rate of Return.

(d) Which costing is also known as "Direct Costing"?

Ans : Variable costing is also known as direct costing.

(e) Write down the formula of margin of safety.

Ans : (i) Margin of safety = Sales – BEP Sales; (ii) Margin of Safety = $\frac{\text{Profit}}{\text{P/V Ratio}}$

(f) Define contribution margin.

Ans : The amount remaining from sales revenues after all variable costs have been deducted is called contribution margin.

(g) What is incremental cost?

Ans : An increase in cost between any two alternatives is called incremental cost.

(h) **Write down the main cost drivers of management accounting.**
Ans : Units of production and sales, uses of direct materials, Labour hours, Machine hour etc.

(i) **What is cash budget?**
Ans : Cash budget is plan indicating expected inflows (receipts) and outflows (disbursements) of cash.

(j) **Why farm use flexible budget?**
Ans : Farm use a flexible budget because it adjust with changes in activity level and helps in better cost control and performance evaluation.

(k) **Write down two examples of semi-variable costs.**
Ans : Telephone expenses (Fixed or land phone), Light and Electricity expenses.

(l) **What is labour cost variance?**
Ans : Labour cost variance is the difference between standard direct labour cost and actual direct labour cost incurred for the production achieved.

Part-B

[Answer any five questions.] Marks : 4 × 5 = 20

2. Why ethics is important in management accounting? Briefly discuss.
[An: মনিরাম ব্যাংকিং ইন্সটিটিউট (৩য় খণ্ড) বইয়ের] **Page No. 6 Ques. No. 1.07]**

3. From the following relevant information of Padma Ltd. prepare a cost sheet :

Direct materials	Tk. 1,00,000
Direct labour	80% of materials
Factory overhead	50% of labour cost
Office overhead	70% of factory overhead
Selling overhead	50% of office overhead
Profit	25% of sales.

Solution *Page No- 626; Question No-03*

4. How do accounting costs differ from economic costs? Explain briefly. ***[Ans : Page No 626 ; Ques. No-04]***

5. You have given the following information's of Jamuna Brothers :
Sales price Tk. 26 per unit, Variable manufacturing cost Tk. 12 per unit, Fixed overhead Tk. 3 per unit (Based on capacity 10,000 units), Fixed marketing expenses Tk. 7,000. Production 8,500 units, Sales 5,000 units, Prepare income statement using absorption costing.
Solution *Page No- 626; Question No-05*

6. NP Ltd sells several products. Information of average revenue & costs are as follows :
Selling price per unit = Tk. 20.

Variable costs per unit ⟶	Direct materials	= Tk. 4,
	Direct manufacturing labor	= Tk. 1.60
	Manufacturing overhead	= Tk. 0.40
	Selling costs	= Tk. 2

Annual fixed costs = Tk. 96,000
(i) Calculate the contribution margin per unit &
(ii) Calculate the number of units NP Ltd's must sell each year to break even.
Solution *Page No- 627; Question No-06*

7. "All future costs are relevant in decision making". Do you agree? Explain. ***[Ans : Page No 27 ; Ques. No 2.35]***

8. AZ Company has the following information :

Month	March	April	May	June	July
Budgeted sales (Tk.)	5,00,000	5,30,000	5,10,000	5,45,000	5,25,000

In addition, the gross profit rate is 40% and the desired inventory level is 30% of next month's cost of sales.
You are required to prepare a purchases budget for April through June.
Solution *Page No- 627; Question No-08*

9. The standard and actual figures of product Z are as follows—

	Standard	Actual
Material quantity	50 units	45 units
Material price per unit	Tk. 1	Tk. 0.80

You are required to find the material costs variance.
Solution *Page No- 628; Question No-09*

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) How does management accounting assist the management of a business concern?

[Ans : Page No 8 ; Ques. No 1.14]

(b) Mention the four differences between management accounting and financial accounting.

[Ans : Page No 8 ; Ques. No 1.13]

11. The Madhumati Company produce different types of leather goods. The sales revenue for the year Tk. 13,00,000. The cost related different information during the year were as follows :

Particulars	Taka
Raw materials purchased	40,000
Freight in	2,000
Opening raw materials	2,60,000
Opening work-in-process	70,000
Opening finished goods	50,000
Closing raw materials	70,000
Closing work-in-process	60,000
Closing finished goods	70,000
Productive wages	1,80,000
Chargeable expenses	40,000
Factory overhead	2,70,000
Selling expenses	50,000
General and administrative expenses	20,000
Sale of scrap	7,000

Prepare a statement showing the following :

(i) Raw material used
(ii) Prime cost
(iii) Cost of manufacturing
(iv) Cost of goods manufactured
(v) Cost of goods available for use
(vi) Cost of goods sold
(vii) Cost of sales
(viii) Profit or loss.

Solution *Page No- 629; Question No-11*

12. The following data is available for the month of June :

Beginning finished goods (in unit)	5,000
Sales (in unit)	20,000
Actual production (in unit)	23,000
Sales price per unit	Tk. 40
Variable manufacturing cost : (per unit)	**Tk.**
Direct materials	5
Direct labour	4
Variable production overhead	3
Fixed production overhead	50,000
Normal production in unit 50,000	
Commercial expensed :	
Fixed	8,000
Variable	12,000
Administrative expense (Fixed)	6,000

Required :

(i) Prepare income statement applying variable costing and absorption costing.
(ii) Prepare reconciliation statement,

Solution *Page No- 630; Question No-12*

13. (a) How does cost volume profit (CPV) analysis help in management decision making?

[Ans : Page No 128 ; Ques. No 4.17]

(b) Rahat company Ltd. has fixed expenses of Tk. 1,00,000 with sales at Tk. 3,20,000 and a profit of Tk. 70,000. If in the next period, the company suffered a loss of Tk. 40,000. Calculate the sales volume (in amount.)

Solution *Page No- 631; Question No-13 (b).*

14. (a) How relevant cost analysis is used in decision making? explain briefly. *[Ans : Page No 631 ; Ques. No-14 (a)]*

(b) Company A manufactures Motor cars. It can produce 1,000 units in a month for a fixed cost of Tk. 1,00,000 and variable cost of Tk. 500 per unit. It current demand is 600 unit which it sells at Tk. 1,000 per unit. It is approached by company Z for an order of 200 units at Tk. 700 per unit. Should the company accept the order? **Solution** *Page No- 632; Question No-14 (b).*

15. Gold Star Ltd. manufactures product X and product Y. During the year ending 31 December, 2024 it is expected to sell 30,000 kg of product X and 70,000 kg of product Y at Tk. 10 and Tk. 15 per kg respectively. The direct material A, B and C are mixed in the proportion 3 : 5 : 2 in the manufacture of product X. Material B and C are mixed in the proportion of 1 : 2 in the manufacture of product Y.

The budget inventories for the year are given below :

	Opening stock	Closing stock	Anticipation cost per kg
Raw material-A	4,000	5,000	4.00
Raw material-B	5,000	7,000	5.00
Raw material-C	23,000	10,000	3.00
Product-X	5,000	3,000	
Product-Y	7,000	6,000	

Prepare the production budget and the materials purchase budget for the year ended 31 December, 2024.

Solution *Page No- 632; Question No-15*

16. (a) Mention the five differences between fixed budget and flexible budget. *[Ans : Page No 276 ; Ques. No 7.08]*

(b) Using the following information, prepare a flexible budget for the production of 80% and 100% activity :

Production at 50% capacity	5,000 units
Raw materials	Tk. 80 per unit
Direct labour	Tk. 50 per unit
Direct expenses	Tk. 15 per unit
Factory expenses	Tk. 50,000 (50% fixed)
Administration expenses	Tk. 60,000 (60% variable)

Solution *Page No- 633; Question No-16 (b).*

17. The budgeted prime cost of a product was as follows :

Account titles	Taka
Raw materials	
Cotton 5 kg @ Tk. 4.00	20.00
Jute 3 kg @ Tk. 1.00	3.00
Labour 8 hours @ Tk. 1.30	10.40
	33.40
The actual cost of the product was as follows :	
Cotton 5 kg @ Tk. 3.50	17.50
Jute 4 kg @ Tk. 0.70	2.80
Labour 9 hours @ Tk. 1.10	9.90
	30.20

120 units of product were manufactured during the month, calculate the variances.

Solution *Page No- 634; Question No-17.*